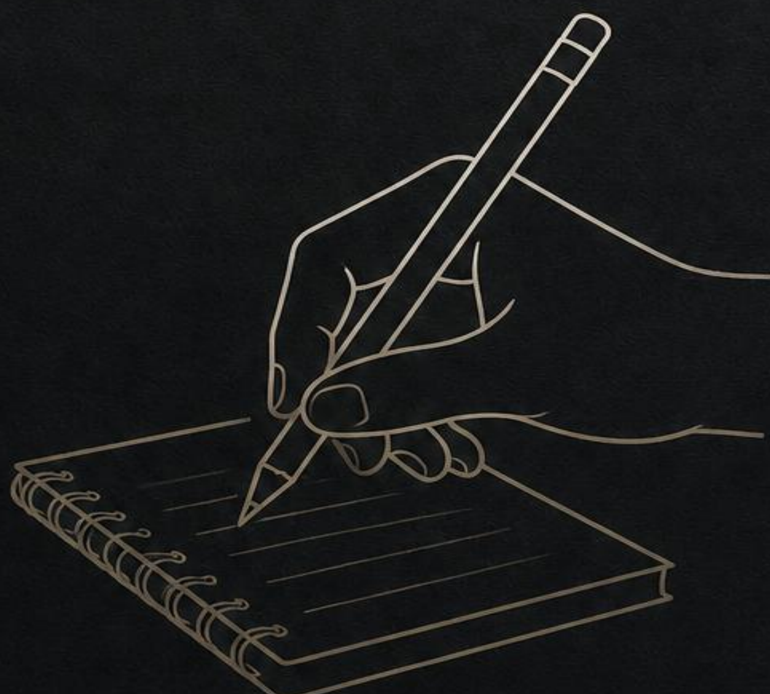
POLYMARKET TRADER'S WORKBOOK



PRACTICE + INSIGHT = PROFIT

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Polymarket Trader’s Workbook

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Chapter 1: Why Paper Trade First

Before you risk a single dollar of real money, you need to understand one fundamental truth: **reading about trading and actually trading are two entirely different skills.**

Your handbook gave you the theory. This workbook gives you the practice. Because of its charts and templates, this workbook uses a larger page format and is best used on larger screens or in print. This chapter explains why paper trading is the most important first step you can take, and gives you the tools to start immediately.

1.1 The Cost of Learning by Losing

When you learn to trade with real money, your mistakes have a price tag. Those price tags add up. Here is what the data shows:

- Approximately 97% of Polymarket users do not generate long-term profits (Gómez-Cram, Guo, Jensen & Kung, London Business School/Yale)
- 67% of users fall into the inexperienced or unprofitable trader group (same source)
- Most profitable traders earn modest amounts ($0 to $1,000) before their luck runs out (Sergeenkov, 2026)

What this means for you: The odds are against you. But here is the good news: those odds are based on people who learned by losing. You can learn differently. You can observe, reflect and *practice*.

Paper trading allows you to make mistakes without financial consequences. Every bad trade becomes a lesson, not a loss. Every good trade builds confidence without risk. When you finally trade with real money, you will have already paid your tuition in time, not cash.

1.2 What Paper Trading Teaches That Reading Cannot

Your handbook covers probability, order books, liquidity, position sizing, psychology, and execution. Reading about these concepts is essential. But reading alone cannot teach you:

Emotional Response
When you see a position drop 20% in five minutes, you will feel something. Fear. Doubt. The urge to panic sell. Paper trading lets you experience these emotions without the financial stakes. You learn what your emotional triggers are before they cost you money.

Execution Mechanics
Clicking a button sounds simple. In practice, you will encounter partial fills, stale prices, slippage, and order book shifts. Paper trading gives you practice navigating these mechanics without the stress of real money on the line.

Slippage Awareness
Your handbook explains slippage. But until you experience it, you will not truly understand how a 2-cent spread becomes a 5-cent cost. Paper trading shows you the gap between theory and reality.

The Discipline of Process
Paper trading is not about winning. It is about practicing your process. Every trade should follow the framework from Chapter 11 of your handbook: read rules, estimate probability, check liquidity, size the position, plan the exit. Paper trading lets you build these habits before real money is at stake.

1.3 The Goal: Build Intuition Without Financial Consequences

The ultimate goal of paper trading is to build intuition. Intuition is what allows experienced traders to glance at an order book and sense what is happening. It is what lets them recognize an overreaction or spot a hidden opportunity.

Intuition cannot be taught through reading. It must be built through repetition.

What intuition looks like in practice:

- Recognizing a spoofing wall before it disappears
- Sensing when absorption is happening
- Knowing when a price move is news-driven versus liquidity-driven
- Feeling when a position is no longer worth holding

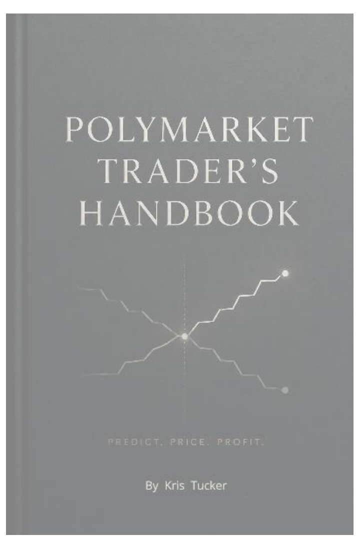
Paper trading gives you the repetitions needed to build this intuition. By the time you trade with real money, your intuition will already be developing.

1.4 Connecting to Your Handbook

This workbook is designed to be used alongside your handbook. Each chapter references specific sections of the guide.

For this chapter, review:

- **Chapter 16:** Scaling Your Trading Account — This explains why starting small and learning first is the most reliable path to profitability.
- **Chapter 28:** The Complete Reality Check — This aligns expectations with reality and explains why most traders fail.



Exercises for Chapter 1

These exercises are designed to get you started with paper trading immediately.

Exercise 1.A: Set Up Your Paper Trading Account

Objective: Install a paper trading tool and complete your first practice trade.

Background: There are several paper trading tools available for Polymarket. Each has different features:

Your Paper Trading Tool

To complete the exercises in this workbook, you will need a paper trading tool. Here are the main options:

Tool	Platform	Starting (fake) Capital	Key Features
PredictMirror	Chrome Extension	$1,000	Live prices, fee calculation, order book depth, P&L tracking, stats dashboard
DemoMarket	Chrome Extension	Varies	Adds "Demo" button to Polymarket interface, portfolio and P&L tracking
PolyMock	Web-based	$10,000	Uses real Polymarket prices via API, leaderboard and competitions

Choose one tool and install it before proceeding. PredictMirror is recommended for beginners due to its detailed analytics and realistic feel. However, after you become familiar with the process, any will serve you well.

My Chosen Tool: ________________

Steps:

1. Choose a paper trading tool from the table above.
2. Install or navigate to the tool.
3. Create your account (if required).
4. Familiarize yourself with the interface. Where do you see your balance? Where do you place orders?
5. Complete your first practice trade. Choose any market. Buy 10 YES shares at the current ask price.
6. Confirm that the trade appears in your portfolio.

Journal Entry:

Date:

Paper Trading Tool Used:

First Trade Market:

First Trade Side (YES/NO):

First Trade Price:

What was confusing or unexpected about the process?

Example of what you will actually see on the trading platform

Positions

Market	Side	Entry Price	Current Price	Position Size	Unrealized P&L*	Realized P&L
Will Candidate X win election?	YES	0.65	0.70	100 shares	+$5.00	$0.00
Will Team A win the next Championship?	YES	0.42	0.38	500 shares	-$20.00	+$150.00
Will inflation exceed 3% in Q4?	NO	0.55	0.60	300 shares	+$15.00	$0.00
Will Film B win Best Picture?	NO	0.28	0.25	800 shares	-$24.00	$0.00

*Note: Unrealized P&L is an estimate based on current market mid-prices and may not reflect actual settlement.
Entry and Current Price columns show the price of the side you hold (YES prices for YES positions, NO prices for NO positions).

Exercise 1.B: Your First Five Paper Trades

Objective: Make five paper trades and record the reasoning behind each.

Rules:

- You must make at least five trades.
- Each trade must be based on a thesis (not random).
- Record your reasoning before you place the trade.

Trade Log:

Trade #	Market	Side	Price	Your Estimated Probability	Your Thesis (Why are you entering?)
1					
2					
3					
4					
5					

Journal Prompts:

- Which of these trades felt most comfortable? Why?
- Which felt most uncomfortable? Why?
- Did you find yourself wanting to trade just to "do something"? If so, what did you do about it?
- Did any trade feel like gambling rather than investing?

Exercise 1.C: The Post-Mortem

Objective: Review your first five paper trades and identify patterns.

Background: Your handbook emphasizes the importance of post-mortems (Chapters 15 & 17). This exercise applies that principle to your paper trades.

Steps:

1. Wait 24 hours after completing your five trades.
2. Review each trade. What happened? Did it win or lose? Why?
3. Answer the following questions honestly.

Post-Mortem Questions:

1. How many of your five trades were based on your actual analysis? (Be honest. "I thought it might go up" is not analysis.)
2. How many trades were based on "just trying it out" or curiosity?

3. Did any of your trades follow the process from Chapter 11 of your handbook? (Read rules, estimate probability, check liquidity, size position, plan exit.)
4. What surprised you about the results?
5. What is one thing you would do differently in your next five trades?

1.5 The Math Behind Paper Trading

Paper trading is not just about practice. It is also about building intuition for the mathematical concepts in your handbook.

The Formula You Will Use Most:

Your handbook gives you the EV formula in Chapter 5:

EV = (Probability of Winning × Profit if Correct) − (Probability of Losing × Loss if Wrong)

Paper Trading Version: Every time you make a paper trade, estimate your probability and calculate the expected value. This turns paper trading into a laboratory for probability estimation.

Example:

- You buy YES at 40 cents. Your estimated probability is 55%.
- Profit if correct: 60 cents. Loss if wrong: 40 cents.
- EV = (0.55 × 60) − (0.45 × 40) = 33 − 18 = +15
- This is a positive EV trade.

Your Turn:

Trade #	Entry Price	Your Estimate	Profit if Correct	Loss if Wrong	EV
1					
2					
3					
4					
5					

1.6 Chapter 1 Summary

Paper trading is the most important first step you can take as a new trader. It allows you to:

- Make mistakes without financial consequences
- Experience emotions without financial stakes
- Practice execution without financial pressure
- Build intuition through repetition
- Test your process before real money is involved

Before you proceed to Chapter 2:

- Complete Exercises 1.A, 1.B, and 1.C
- Have at least 5 paper trades recorded
- Identify one pattern in your trading that surprised you

Workbook Checklist for Chapter 1

- I have installed a paper trading tool
- I have completed my first paper trade
- I have completed 5 paper trades with recorded reasoning
- I have completed the post-mortem exercise
- I have calculated EV for my trades
- I have written journal entries for each exercise

For Further Exploration: Tools Like Polysights

As you continue your paper trading practice, you may encounter third-party analytics tools. Here are two to be aware of:

1. **Polysights** — Tracks notable market movements and flagged accounts. The "Insider Finder" feature highlights accounts that have made large, well-timed bets. Some traders find this useful for spotting potential patterns, learning best practices, and keeping a finger on the pulse of the markets.
2. **PolygonScan** — A block explorer that allows you to verify transactions and monitor wallet activity directly on-chain. This is useful when the Polymarket interface is slow or unresponsive.

A note on using any tools: They can be helpful, but they are not substitutes for your own analysis. Use them as a starting point, not a conclusion. As with any signal, verify before you act. They work best when used alongside your own developing skill set and good judgment.

Chapter 2: The EV Lab — Understanding Expected Value Through Practice

Your handbook makes a bold claim: expected value is the single most important concept in trading. This chapter turns that claim into practice.

By the end of this chapter, you will have calculated EV for dozens of trades, developed intuition for what a positive EV trade looks like, and learned to spot the difference between a good bet and a lucky win.

2.1 Why EV Matters More Than Win Rate

Most beginners focus on one question: "Will this trade win?" Professionals focus on a different question: "Is this trade profitable over many repetitions?"

Consider these two traders:

Trader	Win Rate	Average Win	Average Loss	Net Result
Trader A	40%	+$300	-$100	+$6,000 (100 trades)
Trader B	90%	+$10	-$200	-$1,100 (100 trades)

Trader A wins less often but makes more money. Trader B wins almost every time but still loses overall.

The lesson: Being right is not enough. You must be more “right” than the price implies.

2.2 The EV Formula in Practice

Your handbook gives you this formula:

EV = (P(win) × Profit) − (P(loss) × Loss)

Let's practice using it.

Example 1: You buy YES at 60 cents. Your estimate is 65%.

- Profit if correct: 40 cents ($1 − $0.60)
- Loss if wrong: 60 cents
- EV = (0.65 × 40) − (0.35 × 60) = 26 − 21 = +5 cents per share

Example 2: You buy YES at 90 cents. Your estimate is 92%.

- Profit if correct: 10 cents
- Loss if wrong: 90 cents
- EV = (0.92 × 10) − (0.08 × 90) = 9.2 − 7.2 = +2 cents per share

Both trades are positive EV. But Example 1 has a much stronger edge. A 5-cent edge per share on a $1 contract is significant. A 2-cent edge is marginal.

Exercise 2.A: EV Calculator Drill

Objective: Calculate EV for 10 hypothetical trades.

Instructions: For each trade, calculate the EV. Then decide: would you take this trade? (Assume your probability estimate is correct.)

Trade #	Market Price	Your Estimate	EV	Take? (Yes/No)
1	50%	55%		
2	50%	52%		
3	70%	75%		
4	70%	72%		
5	90%	95%		
6	90%	91%		
7	30%	40%		
8	30%	35%		
9	60%	65%		
10	60%	61%		

Note: To ensure proper understanding before continuing, the answer key for this exercise is on the next page, as well as repeated in Appendix F, where the rest of the exercise answers are located.

Answer Key (calculate before looking):

Trade	Market Price	Your Estimate	EV	Take?
1	50%	55%	+5	Yes
2	50%	52%	+2	Marginal
3	70%	75%	+5	Yes
4	70%	72%	+2	Marginal
5	90%	95%	+5	Yes
6	90%	91%	+1	Probably not
7	30%	40%	+10	Yes
8	30%	35%	+5	Yes
9	60%	65%	+5	Yes
10	60%	61%	+1	Probably not

Journal Prompt:

- What did you notice about trades with small edges (1-2%)?
- Why might a trader still take a small edge trade?
- Why might a trader skip a small edge trade?

Exercise 2.B: The Probability Estimation Drill

Objective: Practice estimating probabilities before looking at the market. This is one of the most important skills you can develop.

Background: Your handbook emphasizes that looking at the market price first contaminates your estimate. This exercise forces you to estimate first, then compare.

Instructions: For each statement, write your probability estimate. Then look up the actual market price (if the market exists) or use your best guess based on available information. Record the difference.

Event	Your Estimate	Market Price	Difference
"Candidate X wins the election"			
"Bitcoin exceeds $150,000 this year"			
"The Federal Reserve cuts rates by July"			
"A major tech company announces a layoff this quarter"			
"A major geopolitical conflict escalates this month"			

Journal Prompts:

- Where were you systematically too high or too low?
- What types of events did you overestimate and underextimate?
- What can you do to improve your calibration?

Exercise 2.C: The "Why Is the Market Wrong?" Challenge

Objective: Find a market where your estimate differs from the market by at least 10 percentage points. Write a thesis explaining why the market is wrong.

Background: Your handbook states that an edge exists when your estimate differs from the market. But you must be able to explain why the market is wrong. This exercise forces you to articulate that reasoning.

Instructions:

1. Find a market where your estimate differs from the market by at least 10 percentage points.
2. Write a one-paragraph thesis explaining why the market is wrong.
3. Identify three pieces of evidence that support your view.
4. Identify three pieces of evidence that contradict your view.
5. After completing this exercise, decide: would you still take the trade?

Template:

Market: ____

My Estimate: ________% Market Price: ________% Edge: ________%

Why the Market Is Wrong (Thesis):

____

____

____

Evidence Supporting My View:

1. ____

2. ____

3. ____

Evidence Contradicting My View:

1. ____

2. ____

3. ____

Decision: Would you take this trade? ____ Yes ____ No

Why or why not?

____

____

2.3 Tools for Finding Opportunities

As you practice EV and probability estimation, you may find it helpful to use third-party analytics tools to identify markets worth investigating. One such tool is the aforementioned Polysights, which tracks notable market movements and flagged accounts. The "Recently Flagged" section can point you to markets with unusual activity, and the "Radar Score" provides a rough signal of potential significance.

How to use Polysights in your practice:

- Use it as a discovery tool to find markets you might otherwise miss
- Treat flagged markets as a starting point for your own analysis, not a conclusion
- Combine Polysights signals with your own probability estimates before making a decision

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2.4 Connecting to Your Handbook

For this chapter, review:

- **Chapter 5:** Expected Value, Probability Estimation, and Edge Detection — This covers the theory behind EV and probability estimation.
- **Chapter 8:** Information Advantages and News Trading — This explains how to interpret news and incorporate it into your estimates.
- **Chapter 19:** The Mathematics of Prediction Markets — This covers calibration, Brier scores, and Bayesian updating in more depth.

Workbook Checklist for Chapter 2

- I have completed Exercise 2.A (EV Calculator Drill)
- I have completed Exercise 2.B (Probability Estimation Drill)
- I have completed Exercise 2.C (The "Why Is the Market Wrong?" Challenge)
- I have written journal entries for each exercise
- I have reviewed Chapters 5, 8, and 19 of the handbook

Chapter 2 Summary

Expected value is the foundation of profitable trading. This chapter gave you practice calculating EV, estimating probabilities, and articulating why the market might be wrong. These skills take time to develop. Be patient with yourself.

Before you proceed to Chapter 3:

- Review your EV calculations. Were you too aggressive or too conservative?
- Review your probability estimates. Where were you most accurate? Where were you least accurate?
- Look back at Exercise 2.C. Would you still take the trade you identified? Why or why not?

Chapter 3: The Order Book Lab — Reading the Market's Body Language

Your handbook devotes multiple chapters to the order book. Chapter 2 introduces it. Chapter 4 explains walls, spoofing, and tape reading. Chapter 29 revisits advanced concepts. This chapter gives you practice reading order books in real time.

By the end of this chapter, you will be able to identify walls, spot potential spoofing, read absorption, and make better execution decisions.

3.1 The Order Book as a Window

Your handbook describes the order book as "the closest thing prediction markets have to reading body language." This is accurate. The order book reveals what other traders are doing right now. Not what they think, not what they believe, but what they are actually willing to buy or sell at this moment.

The core principle: Orders can lie. Executed trades cannot. Pay attention to what actually happens, not just what is displayed.

3.2 Order Book Anatomy Refresher

A quick reminder of the key elements:

Element	What It Is
Bids	People willing to buy. Prices descend from top to bottom.
Asks	People willing to sell. Prices ascend from top to bottom.
Spread	The gap between the highest bid and the lowest ask.
Depth	How many shares are available at each price level.
Wall	An unusually large order at a specific price level.

Sample Order Book:

Price	Bid Size		Ask Size	Price
60¢	1,000			
61¢	2,000			
62¢	5,000			
			3,000	64¢
			4,000	65¢
			5,000	66¢

What this tells us:

- The highest bid is 62¢ (5,000 shares)
- The lowest ask is 64¢ (3,000 shares)
- The spread is 2 cents
- There is moderate depth at each level

What does this similar book tell you?

Bids (Buyers)	Asks (Sellers)
62¢ | 5,000 shares	63¢ | 1,500 shares
61¢ | 3,000 shares	64¢ | 2,500 shares
60¢ | 1,000 shares	65¢ | 4,000 shares

Exercise 3.A: Order Book Reading Drill

Objective: Practice reading an order book and identifying key information.

Instructions: For the sample order book below, answer the questions.

Price	**Bid Size**		**Ask Size**	**Price**
58¢	2,000			
59¢	4,000			
60¢	8,000			
61¢	15,000			
62¢	50,000			
			1,500	63¢
			3,000	64¢
			5,000	65¢
			10,000	66¢
			25,000	67¢

Questions:

1. What is the highest bid?
2. What is the lowest ask?
3. What is the spread?
4. How many shares are available at 62¢ and at 63¢?
5. Is there a wall? If so, where?
6. Is there a size imbalance? What does it suggest?

Journal Prompt:

- Based on this order book, would you expect price to move up, down, or sideways? Why?
- What would you watch for to confirm your expectation?

Exercise 3.B: Wall or Noise?

Objective: Practice distinguishing real walls from potential spoofing.

Background: Your handbook explains that walls can be genuine, strategic, or deceptive. A genuine wall represents real demand or supply. A deceptive wall is placed to influence perception and canceled before execution.

Instructions: For each scenario below, decide: is this likely a real wall or potential spoofing? Explain your reasoning.

Scenario A:

- 100,000 shares bid at 58¢
- Price approaches 58¢
- The wall remains
- 10,000 shares sell into the wall
- The wall remains
- Another 10,000 shares sell into the wall
- The wall remains

Likely real or spoof? Why?

Scenario B:

- 100,000 shares bid at 58¢
- Price approaches 58¢
- The wall disappears
- Price falls to 55¢

Likely real or spoof? Why?

Scenario C:

- 100,000 shares bid at 58¢
- Price approaches 58¢
- The wall moves to 57¢
- Price approaches 57¢
- The wall moves to 56¢

- Price approaches 56¢
- The wall moves to 55¢

Likely real or spoof? Why?

Scenario D:

- 100,000 shares bid at 58¢
- The wall reappears every day for a week
- Each day, price approaches and the wall disappears
- This repeats daily

Likely real or spoof? Why?

Journal Prompt:

- What patterns did you notice across the scenarios?
- What would make you trust a wall?
- What would make you distrust a wall?

Exercise 3.C: Live Order Book Observation

Objective: Watch a live order book and practice identifying key behaviors.

Instructions:

1. Open any Polymarket market with reasonable liquidity.
2. Observe the order book for 15 minutes.
3. Record the following:

Observation	Notes
What is the spread?	
Does the spread widen or narrow over time?	
Are there any visible walls? Where?	
Do walls disappear when approached?	
Is there absorption happening? (Price stays stable despite volume)	
Is there urgency in the market? (Aggressive buyers or sellers)	

Journal Prompts:

- What was the most interesting thing you observed?
- Did anything surprise you?
- Based on your observation, would you be a buyer, seller, or neutral in this market?

3.3 Execution Practice

Your handbook emphasizes that execution is a skill. This exercise gives you practice with limit orders, market orders, and partial fills.

Exercise 3.D: Limit Order vs. Market Order

Objective: Compare the experience of placing a limit order versus a market order.

Instructions:

1. Choose a market with moderate liquidity (not too thin, not too deep).
2. Place a limit order to buy at the current bid price. Record:
   - The price
   - How long it takes to fill (if at all)
   - What happened to the order book while you waited
3. Place a market order to buy the same number of shares. Record:
   - The expected price
   - The actual fill price
   - The difference (slippage)

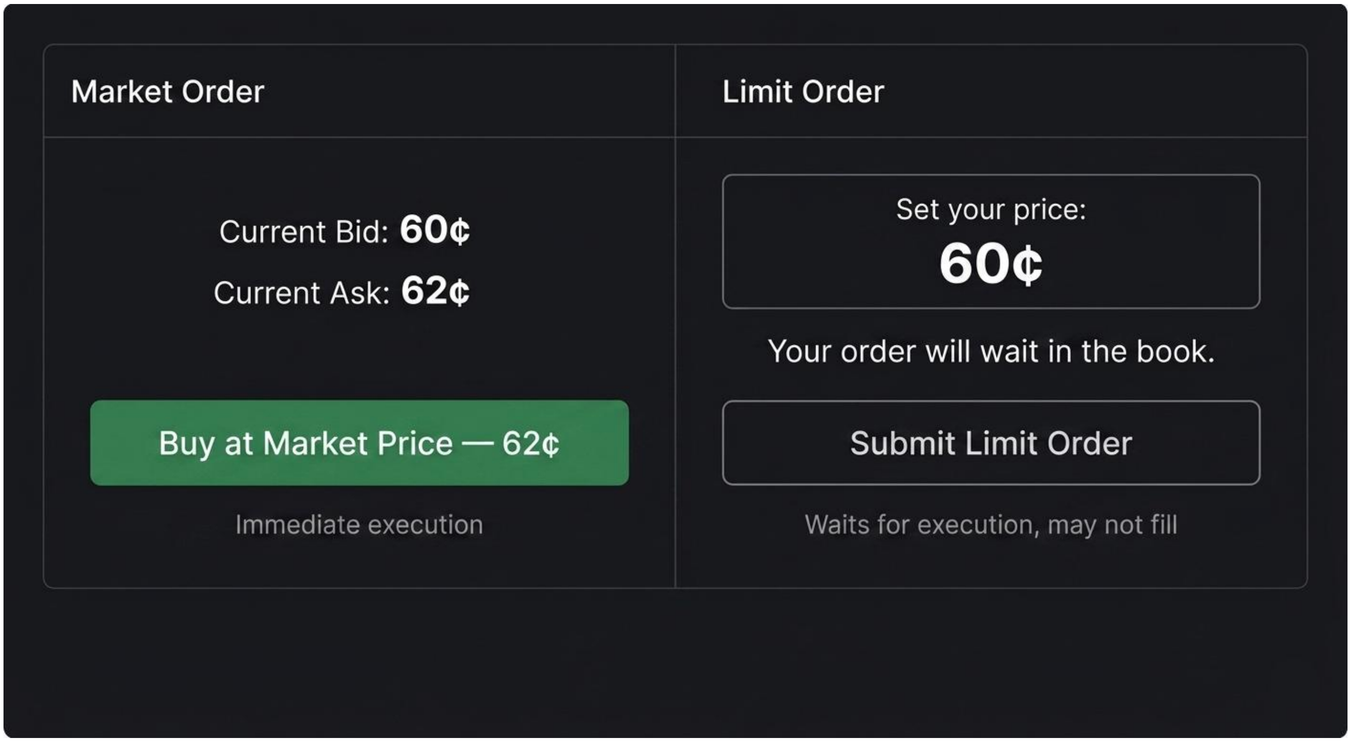
Comparison Table:

	Limit Order	**Market Order**
Price		
Shares		
Time to Fill		
Slippage		
Did it fill?		

Journal Prompt:

- Which order type would you prefer in this market? Why?
- What factors would make you choose a market order over a limit order?
- What factors would make you choose a limit order over a market order?

Mockup of actual view



Exercise 3.E: Partial Fill Experience

Objective: Understand how partial fills work and how to manage them.

Instructions:

1. Choose a market with thin liquidity.
2. Place a limit order for more shares than are available at your target price.
3. Observe the result. Record:

Detail	Notes
How many shares did you want?	
How many shares filled immediately?	
How many shares remain waiting?	
Did the rest eventually fill?	
How long did it take?	

Journal Prompts:

- Was this experience frustrating? Why or why not?
- How would you handle a partial fill differently next time?
- What is the relationship between market liquidity and partial fills?

3.4 Connecting to Your Handbook

For this chapter, review:

- **Chapter 2:** The Trading Screen — This explains the order book layout and key terms.
- **Chapter 3:** Order Execution — This covers market orders, limit orders, and slippage.
- **Chapter 4:** Order Books, Market Depth, Liquidity Walls, Spoofing, and Reading Order Flow — This covers tape reading and advanced concepts.
- **Chapter 21:** Advanced Execution and Market Microstructure — This covers queue position and adverse selection.

Workbook Checklist for Chapter 3

- I have completed Exercise 3.A (Order Book Reading Drill)
- I have completed Exercise 3.B (Wall or Noise?)
- I have completed Exercise 3.C (Live Order Book Observation)
- I have completed Exercise 3.D (Limit Order vs. Market Order)
- I have completed Exercise 3.E (Partial Fill Experience)
- I have written journal entries for each exercise

Chapter 3 Summary

The order book is where intentions become visible and where prices are actually made. This chapter gave you practice reading order books, identifying walls, spotting potential spoofing, and executing trades.

Before you proceed to Chapter 4:

- Review your observations from Exercise 3.C. Would you still have the same opinion of that market?
- Review your execution experience from Exercises 3.D and 3.E. What would you do differently?
- Watch one more order book for 5 minutes. What do you notice that you missed the first time?

Chapter 4: The Risk Lab — Position Sizing, Kelly, and Bankroll Management

Your handbook makes a bold claim: most traders do not fail because they cannot find profitable opportunities. They fail because they size those opportunities badly. This chapter gives you practice sizing positions correctly, understanding the Kelly Criterion, and managing your bankroll.

By the end of this chapter, you will be able to calculate position sizes for any trade, understand the trade-offs between risk and return, and apply Kelly in a practical, disciplined way.

4.1 The Sizing Reality Check

Before we dive into formulas, let us confront a simple truth: **position sizing is the single most important risk management decision you will make.**

Consider two traders:

Trader	**Edge**	**Position Size**	**Result if Wrong**
Trader A	10%	2% of bankroll	Survives
Trader B	10%	50% of bankroll	Crippled

Both traders have the same edge. Both make the same prediction. One survives. One does not.

The lesson: Your edge does not matter if you size incorrectly.

4.2 The Core Position-Sizing Principle

Your handbook states the core principle clearly:

Never size a single trade such that a normal losing outcome meaningfully threatens your ability to continue trading.

For most individual traders, a reasonable starting point is risking roughly 1-3% of bankroll per trade until you have substantial evidence of a durable edge.

What does this mean in practice?

Bankroll	1% Risk	2% Risk	3% Risk
$500	$5	$10	$15
$1,000	$10	$20	$30
$5,000	$50	$100	$150
$10,000	$100	$200	$300
$50,000	$500	$1,000	$1,500

This feels small. Good. Small positions buy experience cheaply.

Exercise 4.A: Position Size Calculator

Objective: Practice calculating position sizes for different bankrolls and entry prices.

Instructions: For each scenario, calculate the maximum shares you can buy while staying within the risk limit.

Formula: Maximum Shares = (Bankroll × Risk%) / Entry Price

Example: Bankroll $5,000, Risk 2%, Entry Price 40¢

- Risk Amount = $5,000 × 0.02 = $100
- Maximum Shares = $100 / $0.40 = 250 shares

Scenario	Bankroll	Risk%	Entry Price	Risk Amount	Max Shares
1	$1,000	2%	50¢		
2	$1,000	3%	50¢		
3	$5,000	1%	30¢		
4	$5,000	2%	30¢		

Scenario	Bankroll	Risk%	Entry Price	Risk Amount	Max Shares
5	$10,000	2%	60¢		
6	$10,000	3%	60¢		
7	$500	2%	20¢		
8	$500	3%	20¢		
9	$50,000	1%	70¢		
10	$50,000	2%	70¢		

Journal Prompt:

- How did the position sizes feel? Too small? Too large?
- What would you do if your desired position size exceeded the available liquidity?

4.3 The Kelly Criterion

The Kelly Criterion is a formula for maximizing long-run bankroll growth when you know your edge and the payoff structure.

The Formula:

$$f = (p \times (b + 1) - 1) / b$$

Where:

- p = your probability of winning
- b = net odds received (profit if win divided by amount risked)

Example: Market price 40¢, your estimate 50%

- $p = 0.50$
- Profit if win = 60¢, loss if lose = 40¢
- $b = 60/40 = 1.5$
- $f = (0.50 \times 2.5 - 1) / 1.5 = (1.25 - 1) / 1.5 = 0.25 / 1.5 = 0.1667$

Full Kelly says risk about 16.7% of your bankroll. That is much larger than most people expect and much larger than many professionals actually use.

Why professionals use fractional Kelly:

Kelly assumes:

1. Your probability estimate is correct
2. Outcomes are independent
3. You can repeat similar bets indefinitely
4. No estimation error

Real trading violates all four assumptions.

Common practice:

- Conservative: 1/8 Kelly
- Moderate: 1/4 Kelly
- Aggressive professional: 1/2 Kelly

Exercise 4.B: Kelly Calculator Drill

Objective: Calculate full Kelly and fractional Kelly for different scenarios.

Instructions: For each scenario, calculate:

1. Full Kelly (f)
2. Quarter Kelly
3. Eighth Kelly

Formula Reminder: $f = (p \times (b + 1) - 1) / b$

Scenario	Market Price	Your Estimate	b (Odds)	Full Kelly	1/4 Kelly	1/8 Kelly
1	40%	55%				
2	40%	50%				
3	60%	70%				
4	60%	65%				

Scenario	Market Price	Your Estimate	b (Odds)	Full Kelly	1/4 Kelly	1/8 Kelly
5	80%	85%				
6	80%	82%				
7	30%	45%				
8	30%	40%				
9	90%	92%				
10	90%	95%				

Journal Prompt:

- Which Kelly fraction feels most comfortable to you? Why?
- How does your comfort level compare to the math?
- What factors would make you use a larger or smaller fraction?

4.4 Correlation and Hidden Concentration

Your handbook warns that treating related markets as independent is a major mistake.

Example: Candidate X wins election, Candidate X wins State A, Candidate X wins State B. These are highly correlated. If the underlying political environment shifts, several positions may lose simultaneously.

Risk is larger than the sum of individual position sizes suggests.

Exercise 4.C: Correlation Audit

Objective: Identify hidden concentration in a sample portfolio.

Instructions: For the portfolio below, identify:

1. Which positions are correlated?
2. What single event could hurt multiple positions?
3. What is the total exposure to each underlying thesis?

Sample Portfolio:

Position	Market	Size
1	Candidate X wins presidency	$500
2	Candidate X wins State A	$300
3	Candidate X wins State B	$300
4	Party Y wins Senate majority	$400
5	Bitcoin exceeds $100,000	$200
6	Bitcoin exceeds $150,000	$200

Analysis:

Thesis	Positions Involved	Total Exposure
Candidate X		
Party Y		
Bitcoin		

Journal Prompts:

- Did any positions appear diversified but were actually concentrated?
- How would you adjust this portfolio to reduce hidden concentration?
- What is the maximum you would risk on a single thesis? Why?

4.5 The Drawdown Reality

Drawdowns are inevitable. Your handbook explains that recovering from a 50% drawdown requires a 100% gain just to break even.

The Recovery Table (from your handbook):

Loss	Gain Required to Break Even
10%	11.1%
20%	25.0%
30%	42.9%
40%	66.7%
50%	100.0%
60%	150.0%
70%	233.3%
80%	400.0%
90%	900.0%

Exercise 4.D: Drawdown Recovery Calculation

Objective: Practice calculating recovery requirements and understand the impact of drawdowns.

Instructions: For each scenario, calculate the gain required to recover.

Scenario	Current Drawdown	Account Value	Recovery Gain Required
1	15%	$8,500	
2	25%	$7,500	
3	35%	$6,500	
4	45%	$5,500	
5	55%	$4,500	
6	65%	$3,500	
7	75%	$2,500	
8	85%	$1,500	

Journal Prompt:

- Which recovery requirement surprised you the most?
- What is the largest drawdown you are willing to accept? Why?
- How does this affect your position sizing?

Exercise 4.E: The Stale Position Review

Objective: Practice identifying and managing positions that are going nowhere.

Background: Your handbook explains the concept of "silent drawdown." A position that neither gains nor loses is not neutral. Your capital is frozen. Other opportunities pass.

Instructions: Review each position below. Decide: would you exit, hold, or add?

Position	Entry Price	Current Price	Time Held	Decision (Exit/Hold/Add)	Why?
1	50¢	51¢	3 months		
2	40¢	39¢	2 months		
3	60¢	60¢	4 months		
4	30¢	35¢	1 month		
5	70¢	68¢	2 months		

Journal Prompt:

- Which positions were hardest to review objectively?
- What criteria did you use to decide whether to exit?
- How does this exercise relate to the "would I enter today?" question from your handbook?

4.6 Connecting to Your Handbook

For this chapter, review:

- **Chapter 6:** Position Sizing, Bankroll Management, and the Kelly Criterion — This covers the theory behind position sizing and Kelly.
- **Chapter 18:** Building a Complete Trading Operation — This covers performance tracking and drawdown management.
- **Chapter 22:** Advanced Strategies — This covers correlation and portfolio construction.

Workbook Checklist for Chapter 4

- I have completed Exercise 4.A (Position Size Calculator)
- I have completed Exercise 4.B (Kelly Calculator Drill)
- I have completed Exercise 4.C (Correlation Audit)
- I have completed Exercise 4.D (Drawdown Recovery Calculation)

- I have completed Exercise 4.E (The Stale Position Review)
- I have written journal entries for each exercise

Chapter 4 Summary

Position sizing is the most important risk management decision you will make. This chapter gave you practice calculating position sizes, applying the Kelly Criterion, identifying hidden concentration, and understanding drawdowns.

Before you proceed to Chapter 5:

- Review your position sizes. Are they too large or too small?
- Review your Kelly calculations. Which trades would you size differently?
- Review your correlation audit. Are you more concentrated than you realized?

Chapter 5: The Psychology Lab — Emotions, Biases, and Discipline

Your handbook devotes an entire chapter to market psychology. This is not accidental. The markets are populated by humans, and humans are emotional, tribal, overconfident, prone to panic and euphoria. Understanding your own psychology is just as important as understanding the order book.

By the end of this chapter, you will have identified your emotional triggers, practiced recognizing cognitive biases, and built a framework for disciplined decision-making.

5.1 The Central Problem

Your handbook states it clearly:

> Prediction markets are not merely information-processing systems. They are information-processing systems built from imperfect humans.
>
> You are an imperfect human. So is every other trader. The difference between success and failure is often not intelligence or information. It is the ability to manage your own psychology.

5.2 Common Biases and Their Signs

Your handbook covers many biases. Here is a quick reference:

Bias	What It Is	Warning Sign
Loss Aversion	Losing $100 feels worse than winning $100 feels good	Holding losers too long, selling winners too early
Anchoring	Attaching to a reference point (entry price, previous high)	"I'll sell when I get back to break-even"
Confirmation Bias	Seeking information that supports existing beliefs	Reading only bullish analysis after buying YES
Sunk Cost Fallacy	Continuing because you have already invested time or money	"I've spent too much time on this to abandon it"
FOMO	Fear of Missing Out	Buying after the price has already moved significantly
Overconfidence	Believing you know more than you do	Increasing position size after a winning streak
Recency Bias	Overweighting recent events	Assuming three favorable polls means the trend will continue

Exercise 5.A: Bias Self-Assessment

Objective: Identify which biases affect you most.

Instructions: For each statement, rate yourself from 1 (never) to 5 (always).

Statement	Rating (1-5)
I hold losing positions hoping they will recover	
I sell winning positions too early	
I check my positions multiple times per hour	
I read only analysis that supports my existing view	
I increase position size after a winning streak	
I want to "get even" after a loss	
I trade just to feel active	
I regret not taking trades that later worked out	
I ignore information that contradicts my thesis	
I feel anxious when I am not checking prices	

Scoring:

- Add your total score. Higher scores indicate areas to work on.

Journal Prompt:

- Which biases are strongest for you?
- When do these biases appear? (After wins? After losses? During market volatility?)
- What can you do to reduce their impact?

5.3 The "One More Trade" Pattern

Your handbook describes two dangerous moments: after a win and after a loss. Both trigger the same destructive thought: one more trade.

After a Win:

- Emotion: Confidence
- Thought: "I am invincible"
- Result: Larger, less researched trades

After a Loss:

- Emotion: Frustration
- Thought: "I need to recover"
- Result: Larger, more impulsive trades

The solution: A daily stop rule.

Exercise 5.B: The Stop Rule

Objective: Define your daily stop rule and practice applying it.

Instructions:

1. Define your daily stop rule:

My daily stop rule:

- Stop trading after a loss of ______% of my account

- Stop trading after a profit of ______% of my account

- Cool-down period: ______ minutes/hours

2. For the scenarios below, would you continue trading or stop?

Scenario	Continue or Stop?	Why?
You lost 5% of your account		
You lost 2% of your account		

Scenario	Continue or Stop?	Why?
You gained 8% of your account		
You gained 3% of your account		
You have taken 10 trades today		

Journal Prompt:

- Was it difficult to set a stop rule? Why or why not?
- Have you ever broken a stop rule? What happened?
- What would help you follow your stop rule?

5.4 The "Would I Enter Today?" Test

Your handbook offers a powerful question:

> If I did not currently own this position, would I enter it today?

This question forces you to separate emotion from analysis. The entry price does not matter. The current price does matter. Only current probabilities matter.

Exercise 5.C: The Would I Enter Today? Drill

Objective: Practice applying the "Would I enter today?" question to open positions.

Instructions: For each scenario, decide whether to hold or exit.

Position	Entry Price	Current Price	Your Current Estimate	Hold or Exit?	Why?
1	50¢	45¢	48%		
2	40¢	55¢	56%		

Position	Entry Price	Current Price	Your Current Estimate	Hold or Exit?	Why?
3	60¢	58¢	52%		
4	70¢	75¢	72%		
5	30¢	35¢	38%		

Journal Prompt:

- Which decisions were hardest to make? Why?
- Did any positions feel "different" because of your entry price?
- How can you make this question a habit?

5.5 The Loss Recovery Trap

Your handbook warns against the loss recovery trap:

After a significant loss, the urge to immediately recover is powerful. This leads to oversized positions, poor research, and emotional decisions.

The correct response: Stop trading entirely for a period of time.

Exercise 5.D: The Loss Recovery Plan

Objective: Create a plan for what to do after a significant loss.

Instructions:

1. Define what constitutes a "significant loss" for you (e.g., 10% of account, 20% of account, etc.):

   My definition of a significant loss: ______% of account

2. Define your mandatory break:

   After a significant loss, I will take a break of: ______ days

3. Define what you will do during the break:

   During the break, I will:

   - ____
   - ____
   - ____

Journal Prompt:

- Was it difficult to define a significant loss? Why?
- What would make you tempted to break your own rule?
- How can you make it easier to follow?

5.6 The Winning Streak Trap

Your handbook also warns against the winning streak trap:

Winning can be as dangerous as losing. After a series of wins, overconfidence rises. Risk controls weaken. Position sizes increase. The next loss is often larger than it should be.

The correct response: Take a break. Review your trades. Ask whether your success was due to skill or luck.

Exercise 5.E: The Winning Streak Review

Objective: Develop a process for reviewing winning streaks.

Instructions:

1. Define what constitutes a winning streak for you (e.g., 5 consecutive wins, 10 consecutive wins, etc.):

   My definition of a winning streak: ______ consecutive wins

2. After a winning streak, ask these questions:

Question	Your Answer
Were these trades based on my process or luck?	
Did I follow my position sizing rules?	
Did I follow my stop rules?	
Were there any warning signs I ignored?	
Would I make these trades again?	

Journal Prompt:

- How do you feel after a winning streak?
- How does that feeling differ from how you feel after a losing streak?
- What can you do to stay disciplined during a winning streak?

5.7 Signs You Need a Break

Your handbook lists signs of burnout:

- Checking prices constantly, even when nothing is happening
- Feeling anxious when you are not looking at the screen
- Losing interest in other activities
- Being irritable with family or friends
- Having trouble sleeping because you are thinking about positions

These are not signs of dedication. They are signs of burnout.

Exercise 5.F: The Burnout Self-Check

Objective: Regularly assess your mental state.

Instructions: Rate yourself on each statement from 1 (never) to 5 (always).

Statement	Rating (1-5)
I check prices multiple times per hour	
I feel anxious when I am not looking at the screen	
I am losing interest in activities outside trading	
I am irritable with people when I am trading	
I have trouble sleeping because of trading	
I trade just to feel active	
I feel empty when I am not trading	

Scoring:

- 7-14: Healthy
- 15-21: Warning signs
- 22-28: Burnout risk
- 29-35: Burnout likely. Take a break

Journal Prompt:

- What is your score?
- What would you do if you noticed these signs?
- How can you prevent burnout?

Exercise 5.G: The Emotional Journal

Objective: Track your emotional state before and after trades.

Instructions: For your next 10 trades, record:

Trade	Before Trade (1-10)	After Trade (1-10)	Notes
1	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
2	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
3	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
4	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
5	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
6	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
7	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
8	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
9	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	
10	Confidence: ___ Anxiety: ___	Satisfaction: ___ Frustration: ___	

Journal Prompts:

- What patterns do you notice?
- Are there times when you are more emotional?
- How does your emotional state affect your trading decisions?

A Note on Mental Resilience Resources

The emotional weight of trading is real, and addressing it is a critical part of a sustainable practice. While this workbook focuses on trading strategies, mental wellness is a foundational component of performance and resilience.

For those seeking additional support, I want to tell you about Sophia, an anxiety and resiliency chatbot built by InSightful. Full disclosure: I am InSightful's Chief Business Development Officer. This isn't a neutral recommendation. It's my company. I'm including it anyway because I believe in what we built, and I'd rather you know exactly where I stand than pretend otherwise.

Sophia is designed to provide accessible, 24/7 support, helping break down overwhelming feelings into manageable actions. Core functionality is free.

This is not a substitute for therapy, medication, or a doctor. If you are in real distress, talk to a professional or call a crisis line. A chatbot is a tool, not a treatment. Learn more: https://www.insightful-ec.ca/

5.8 Connecting to Your Handbook

For this chapter, review:

- **Chapter 9:** Market Psychology, Behavioral Biases, Herd Behavior, FOMO, Panic and Burnout — This covers the theory behind the exercises in this chapter.
- **Chapter 17:** What Separates Consistently Profitable Traders — This covers the behavioral patterns of successful traders.

Workbook Checklist for Chapter 5

- I have completed Exercise 5.A (Bias Self-Assessment)
- I have completed Exercise 5.B (The Stop Rule)
- I have completed Exercise 5.C (The "Would I Enter Today?" Drill)
- I have completed Exercise 5.D (The Loss Recovery Plan)
- I have completed Exercise 5.E (The Winning Streak Review)
- I have completed Exercise 5.F (The Burnout Self-Check)
- I have completed Exercise 5.G (The Emotional Journal)
- I have written journal entries for each exercise

Chapter 5 Summary

Psychology is often the deciding factor between success and failure in trading. This chapter gave you practice identifying your biases, setting stop rules, applying the "Would I enter today?" question, and recognizing signs of burnout.

Before you proceed to Chapter 6:

- Review your bias self-assessment. What is your strongest bias?
- Review your stop rule. Have you followed it?
- Review your emotional journal. What patterns emerged?

Chapter 6: The Journal Lab — Building the Trade Review Habit

Your handbook emphasizes that journals are one of the most underrated tools available to traders. Human memory is unreliable. Humans remember big wins and painful losses. Humans forget average decisions. Journals preserve reality.

By the end of this chapter, you will have a functional trade journal, have practiced reviewing trades, and be able to identify patterns in your own decision-making.

6.1 Why Journals Matter

Your handbook states it clearly:

Without records, improvement becomes guesswork. With records, patterns emerge.

A journal turns guesswork into data. It allows you to answer questions like:

- Which markets do I trade best in?
- What is my actual win rate?
- Do I exit too early or too late?
- Am I sizing consistently?
- Is my edge real or imagined?

Without a journal, you are relying on memory. Memory is unreliable.

6.2 The Trade Journal Template

Your handbook provides a basic template. Here is a more detailed version for your workbook:

Field	Description
Trade ID	Unique identifier (e.g., Trade #001)
Date	Entry date
Market	Full market name and ID
Resolution Date	When the market resolves
Side	YES or NO

Field	Description
Entry Price	Actual price paid
Shares	Number of shares
Total Cost	Entry Price × Shares
Estimated Probability	Your probability estimate before entry
Market Price at Entry	The market's implied probability
Edge	Your estimate − Market price
Thesis	Why did you enter? What evidence supported your view? (Minimum 3 sentences)
Disconfirming Evidence	What would change your mind?
Exit Price	Price at exit
Exit Date	Date of exit
Reason for Exit	Why did you exit?
P&L	Actual profit or loss
Return %	(Exit Price − Entry Price) / Entry Price
Lessons Learned	What did this trade teach you?
Grade	A, B, C, D, F

Exercise 6.A: The Blank Journal Pages

Objective: Create reusable journal pages for your own use.

Instructions: Use the template above to create 10 blank journal pages. You can copy the format below or create your own.

Trade #: ________ Date: ________

Market: ____

Resolution Date: ________

Side: YES / NO

Entry Price: ________

Shares: ________

Total Cost: ________

Estimated Probability: ________%

Market Price at Entry: ________%

Edge: ________%

Thesis (Why did you enter?):

____

____

____

Disconfirming Evidence (What would change your mind?):

____

____

Exit Price: ________

Exit Date: ________

Reason for Exit: ________________________________

P&L: ________

Return %: ________

Lessons Learned:

____

____

____

Grade: ________

Exercise 6.B: Journal Entry Practice

Objective: Practice writing journal entries for hypothetical trades.

Instructions: For each scenario below, write a complete journal entry using the template.

Scenario A:

- Market: "Will Candidate X win the election?"
- You bought YES at 45¢
- Your estimate: 55%
- Thesis: Polling shows a tightening race, but Candidate X has a fundraising advantage and strong ground game in key states. The market is underestimating turnout.
- You exited at 58¢ one month later
- Reason for exit: Edge disappeared. Market caught up to your thesis.

Scenario B:

- Market: "Will Bitcoin exceed $150,000 this year?"
- You bought NO at 70¢
- Your estimate: 60%
- Thesis: Bitcoin momentum is strong, but historical patterns suggest a correction is likely before year-end. Macroeconomic conditions are deteriorating.
- You exited at 65¢ two weeks later
- Reason for exit: New information changed your thesis. A major institutional announcement shifted the probability.

Scenario C:

- Market: "Will the Federal Reserve cut rates by July?"
- You bought YES at 55¢
- Your estimate: 50%
- Thesis: You thought the market was overreacting to a few hawkish comments. You were wrong. You had no real edge.
- You exited at 52¢ one week later
- Reason for exit: Thesis was weak. You cut the loss early.

Journal Prompts:

- Which scenario was hardest to journal? Why?
- What would you have done differently in Scenario C?
- How does journaling change your perspective on these trades?

6.3 The Post-Mortem Habit

Your handbook emphasizes the importance of post-mortems:

After every trade, review. Questions: was the probability estimate reasonable? Was sizing appropriate? Was execution efficient? Did emotions interfere? Was the exit justified? What would I do differently?

Exercise 6.C: The Post-Mortem Drill

Objective: Practice reviewing trades and identifying lessons.

Instructions: Review the trade record below. Answer the post-mortem questions.

Trade Record:

- Market: "Will Candidate Y win the primary?"
- Entry: 30¢ YES
- Your estimate: 45%
- Exit: 25¢ (loss)
- Held: 2 weeks
- Thesis: Candidate Y had strong local support that polls were missing
- Reason for exit: New polling showed the candidate falling further behind

Post-Mortem Questions:

1. Was the probability estimate reasonable? Why or why not?
2. Was sizing appropriate? (Assume account size $5,000, position size $150)
3. Was execution efficient? (Entry at 30¢, exit at 25¢)
4. Did emotions interfere? What emotions were present?
5. Was the exit justified? Why or why not?
6. What would you do differently?

6.4 Pattern Recognition

The real power of journaling comes from reviewing multiple trades. Patterns emerge. You discover which markets perform best, which mistakes repeat, and whether your estimates are accurate.

Exercise 6.D: The Pattern Review

Objective: Review a sample trade history and identify patterns.

Instructions: Review the sample trade history below. Identify at least three patterns.

Sample Trade History:

Trade #	Market Type	Entry Price	Exit Price	Return %
1	Election	45¢	58¢	+29%
2	Election	30¢	25¢	-17%
3	Election	55¢	62¢	+13%
4	Crypto	40¢	42¢	+5%
5	Crypto	60¢	55¢	-8%
6	Crypto	50¢	48¢	-4%
7	Economic	70¢	75¢	+7%
8	Economic	45¢	52¢	+16%
9	Economic	55¢	53¢	-4%
10	Economic	40¢	38¢	-5%

Pattern Identification:

Pattern	What You Notice
1	
2	
3	

Journal Prompts:

- Which market type performed best? Worst?
- What patterns do you see in your winning trades?
- What patterns do you see in your losing trades?
- What would you do differently, based on these patterns?

6.5 The "Would I Enter Today?" Review

Your handbook introduces the "Would I enter today?" question. This exercise applies it to historical trades.

Exercise 6.E: The Historical Review

Objective: Apply the "Would I enter today?" question to past trades.

Instructions: For each trade below, answer: "Would I enter this trade today at this price?" and "Would I exit today?"

Trade	Entry Price	Current Price	Current Estimate	Enter Today?	Exit Today?
1	50¢	45¢	48%		
2	40¢	55¢	56%		
3	60¢	58¢	52%		
4	70¢	75¢	72%		
5	30¢	35¢	38%		

Journal Prompt:

- Which trades would you still enter today?
- Which would you exit?
- What does this tell you about your current thesis?

6.6 Connecting to Your Handbook

For this chapter, review:

- **Chapter 11:** A Complete Polymarket Trading Framework — This covers the full trading process.
- **Chapter 15:** Complete Case Studies — This walks through a trade from research to post-mortem.
- **Chapter 18:** Building a Complete Polymarket Trading Operation — This covers record keeping and analytics.

Workbook Checklist for Chapter 6

- I have created blank journal pages
- I have completed Exercise 6.B (Journal Entry Practice)
- I have completed Exercise 6.C (The Post-Mortem Drill)
- I have completed Exercise 6.D (The Pattern Review)
- I have completed Exercise 6.E (The Historical Review)
- I have written journal entries for each exercise
- I have started journaling my actual paper trades

Chapter 6 Summary

Journaling is one of the most valuable habits you can develop. It turns guesswork into data, reveals patterns, and forces you to be honest about your decision-making. This chapter gave you the tools to start journaling and the practice to make it a habit.

Before you proceed to Chapter 7:

- Begin journaling your paper trades if you haven't already
- Review your journal entries. What patterns are emerging?
- Identify one improvement you can make based on your journal data

Chapter 7: The Daily 15-Minute Routine

By this point, you have practiced the foundational skills: EV calculation, order book reading, position sizing, psychology, and journaling. Now it is time to build a daily routine that turns these skills into habits.

Your handbook describes the professional daily workflow in Chapter 12. This chapter gives you a condensed version: a 15-minute routine you can do every trading day to stay sharp and identify opportunities.

By the end of this chapter, you will have a daily routine that keeps you informed, disciplined, and ready to act when opportunities appear.

7.1 Why a Daily Routine Matters

Most beginners check prices randomly throughout the day. They react to whatever moves. They trade impulsively. This is not a strategy. It is a recipe for losing money.

A daily routine does three things:

1. **It keeps you informed.** You know what moved, why it moved, and whether it matters.
2. **It keeps you disciplined.** You follow a process, not emotions.
3. **It keeps you ready.** You spot opportunities before they become obvious.

The routine below takes about 15 minutes. It is designed to be done once per day, ideally in the morning.

7.2 The Daily 15-Minute Routine

Step 1: The Morning Scan (5 minutes)

Open Polymarket and review what changed overnight.

Questions to answer:

- Which markets moved more than 5%?
- Which markets have unusual volume?
- What news broke overnight?

Record your findings:

Market	Movement	Possible Cause	My Reaction

Step 2: Watchlist Review (5 minutes)

Review your watchlist of 10-20 markets.

For each market, ask:

- Has anything changed?
- Is this still interesting?
- Should I add or remove it?

Step 3: Position Review (5 minutes)

Review every open position.

For each position, ask:

- Has my thesis changed?
- Would I enter today at this price?
- Should I add, reduce, or exit?

Exercise 7.A: Morning Scan Practice

Objective: Practice the morning scan for one week.

Instructions: For five consecutive trading days, complete the morning scan. Record your findings.

Day 1:

Market	Movement	Possible Cause	My Reaction

Day 2:

Market	Movement	Possible Cause	My Reaction

Day 3:

Market	Movement	Possible Cause	My Reaction

Day 4:

Market	Movement	Possible Cause	My Reaction

Day 5:

Market	Movement	Possible Cause	My Reaction

Journal Prompts:

- What patterns did you notice across the week?
- Did any market consistently appear in your scan?
- Did your reactions improve over the week?

Exercise 7.B: Watchlist Maintenance

Objective: Build and maintain a watchlist of 10-20 markets.

Instructions:

1. Create a watchlist of 10-20 markets that interest you.
2. For each market, record why it is on your watchlist.

Market	Why It Is Interesting	Key Catalyst
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		

3. Each day, review your watchlist. Note any changes.

Journal Prompts:

- How did you choose which markets to include?
- Did any market surprise you by moving significantly?
- Which markets are you most confident about? Least confident?

Exercise 7.C: Position Review Practice

Objective: Practice reviewing open positions.

Instructions: For each open position you have, answer these questions:

Position	Thesis Still Valid?	Would I Enter Today?	Decision (Add/Reduce /Exit/Hold)
1			
2			
3			
4			
5			

Journal Prompts:

- Which positions were hardest to review objectively?
- Did you find yourself defending any position emotionally?
- What did you learn from this review?

7.3 Connecting to Your Handbook

For this chapter, review:

- **Chapter 11:** A Complete Polymarket Trading Framework — This covers the full trading process from market selection to exit.
- **Chapter 12:** The Professional Polymarket Workflow — This covers the full daily, weekly, and monthly routine in detail.

Workbook Checklist for Chapter 7

- I have completed Exercise 7.A (Morning Scan Practice)
- I have completed Exercise 7.B (Watchlist Maintenance)
- I have completed Exercise 7.C (Position Review Practice)
- I have written journal entries for each exercise
- I have established my daily 15-minute routine

Chapter 7 Summary

A daily routine keeps you informed, disciplined, and ready. This chapter gave you a 15-minute routine: morning scan, watchlist review, and position review. Practice this routine for one week and notice how your awareness improves.

Before you proceed to Chapter 8:

- Complete one full week of the daily routine
- Review your watchlist. Are there markets you should add or remove?
- Review your positions. Are there decisions you need to make?

Chapter 8: The Weekly Review Routine

Your daily routine keeps you informed and disciplined. Your weekly review is where real improvement happens. Your handbook describes the professional weekly workflow in Chapter 12. This chapter gives you a structured weekly review that builds on your daily work and identifies patterns across time.

By the end of this chapter, you will have a weekly review process that turns a week of trades into actionable insights.

8.1 Why a Weekly Review Matters

Your daily routine answers: "What happened today?" Your weekly review answers: "What does it mean?"

A weekly review does three things:

1. **It reveals patterns.** A single trade is noise. A week of trades is data.
2. **It catches mistakes.** Small errors repeated across a week become large problems.
3. **It drives improvement.** Without review, you repeat the same mistakes. With review, you learn.

8.2 The Weekly Review Routine

Step 1: The Weekly Audit (15 minutes)

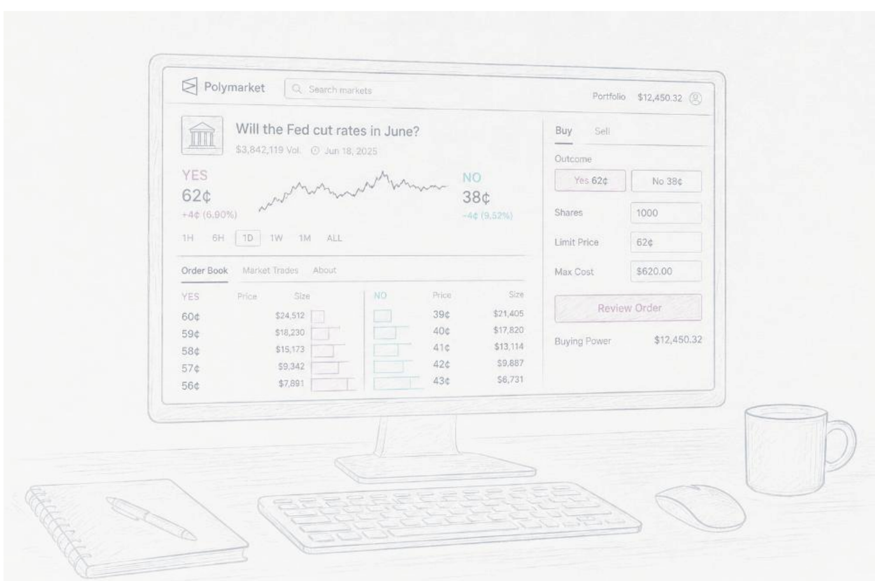
Review every trade from the past week.

For each trade, ask:

- Was the thesis sound?
- Was sizing appropriate?
- Was execution efficient?
- Did emotions interfere?

Grade each trade: **A**, **B**, **C**, **D**, or **F**.

Trade	Market	Thesis Sound?	Sizing Right?	Execution Good?	Emotions?	Grade
1						
2						
3						
4						
5						
6						
7						
8						
9						
10						



Step 2: Portfolio Exposure Review (10 minutes)

Review your portfolio by category.

Category	Total Exposure	% of Portfolio
Elections		
Crypto		
Economic		
Geopolitical		
Other		

Questions to answer:

- Are you concentrated in one category?
- Is there hidden concentration? (multiple positions on the same thesis)
- What single event could hurt multiple positions?

Step 3: Missed Opportunity Review (5 minutes)

Review opportunities you did not take.

Questions to answer:

- Which opportunities did you miss?
- Why did you miss them? (Lack of attention? Lack of conviction? Fear?)
- What can you learn from these missed opportunities?

Exercise 8.A: The Weekly Audit

Objective: Practice the weekly audit for one week.

Instructions: At the end of the week, review every trade you made. Complete the audit table.

Trade Audit:

Trade	Market	Thesis Sound?	Sizing Right?	Execution Good?	Emotions?	Grade
1						
2						
3						
4						
5						
6						
7						
8						
9						
10						

Journal Prompts:

- What was your most common grade?
- What patterns emerged in your A trades?
- What patterns emerged in your D and F trades?
- What is one improvement you can make next week?

Exercise 8.B: Portfolio Exposure Review

Objective: Identify hidden concentration in your portfolio.

Instructions: List every open position. Group them by underlying thesis.

Thesis	Positions	Total	% of Portfolio

Questions:

1. Which thesis has the most exposure?
2. Is this concentration intentional or accidental?
3. What single event could hurt multiple positions?
4. Should you reduce exposure to any thesis?

Journal Prompts:

- Did any hidden concentration surprise you?
- Were there positions you thought were diversified but were actually correlated?
- What adjustments will you make?

Exercise 8.C: Missed Opportunity Review

Objective: Identify and learn from opportunities you did not take.

Instructions: Review the past week. List any opportunities you identified but did not trade.

Opportunity	Why I Missed It	Would I Take It Now?	What I Learned

Journal Prompts:

- Why did you miss these opportunities? (Lack of attention? Lack of conviction? Fear? Capital constraints?)
- Were any of these genuinely good opportunities?
- What can you do to catch more opportunities next week?

8.3 Connecting to Your Handbook

For this chapter, review:

- **Chapter 12:** The Professional Polymarket Workflow — This covers the full weekly review framework.
- **Chapter 17:** What Separates Consistently Profitable Traders — This covers the habits and routines of successful traders.
- **Chapter 18:** Building a Complete Polymarket Trading Operation — This covers record keeping and analytics.

Workbook Checklist for Chapter 8

- I have completed Exercise 8.A (The Weekly Audit)
- I have completed Exercise 8.B (Portfolio Exposure Review)
- I have completed Exercise 8.C (Missed Opportunity Review)
- I have written journal entries for each exercise
- I have identified at least one improvement for next week

Chapter 8 Summary

The weekly review is where improvement happens. This chapter gave you a structured process: the weekly audit, portfolio exposure review, and missed opportunity review. Practice this routine for one month and notice how your trading improves.

Before you proceed to Chapter 9:

- Complete one full weekly review
- Identify one pattern from your audit
- Identify one adjustment to your portfolio
- Identify one lesson from a missed opportunity

Chapter 9: The Monthly Postmortem

Your daily routine keeps you informed. Your weekly review reveals patterns. Your monthly postmortem is where you step back and evaluate your entire trading system. Your handbook describes the professional monthly workflow in Chapter 12. This chapter gives you a structured monthly review that builds on your weekly work and identifies larger patterns across time.

By the end of this chapter, you will have a monthly review process that evaluates your strategy, your calibration, and your emotional patterns.

9.1 Why a Monthly Postmortem Matters

Your weekly review answers: "What happened this week?" Your monthly postmortem answers: "Is my strategy working?"

A monthly postmortem does three things:

1. **It evaluates your strategy.** Which categories perform best? Which perform worst? Should you specialize more or diversify more?
2. **It measures your calibration.** Are your probabilities accurate? Are you overconfident or underconfident?
3. **It reveals emotional patterns.** When are you most emotional? When are you most disciplined?

9.2 The Monthly Postmortem Routine

Step 1: Strategy Evaluation (15 minutes)

Review your performance by category.

Category	Number of Trades	Win Rate	Average P&L	Total P&L
Elections				
Crypto				
Economic				
Geopolitical				
Other				

Questions to answer:

- Which category performed best?
- Which category performed worst?
- Should you specialize more in your best category?
- Should you reduce or eliminate your worst category?

Step 2: Calibration Review (15 minutes)

Review your probability estimates from the past month.

Bucket	Number of Forecasts	Number of Wins	Win Rate	Expected Win Rate	Difference
10-20%				15%	
20-30%				25%	
30-40%				35%	
40-50%				45%	
50-60%				55%	
60-70%				65%	
70-80%				75%	
80-90%				85%	
90-100%				95%	

Interpretation:

- If your win rate exceeds the expected rate in most buckets, you are underconfident.
- If your win rate falls below the expected rate in most buckets, you are overconfident.
- A well-calibrated forecaster will have win rates close to the expected rates.

Step 3: Emotional Review (10 minutes)

Review your emotional patterns from the past month.

Questions to answer:

- When were you most emotional? (After wins? After losses? During volatility?)
- When were you most disciplined?
- Did you follow your stop rules?
- Did you follow your position sizing rules?
- What patterns emerged?

Exercise 9.A: Strategy Evaluation

Objective: Evaluate your strategy performance by category.

Instructions: Review your trades from the past month. Complete the strategy evaluation table.

Category	Number of Trades	Win Rate	Average P&L	Total P&L
Elections				
Crypto				
Economic				
Geopolitical				
Other				

Journal Prompts:

- Which category performed best? Why do you think that is?
- Which category performed worst? Why do you think that is?
- Should you specialize more in your best category?
- Should you reduce or eliminate your worst category?
- What does this tell you about your edge?

Exercise 9.B: Calibration Review

Objective: Measure your calibration accuracy over the past month.

Instructions: Review your probability estimates from the past month. Group them into buckets and calculate the win rate for each bucket.

Bucket	Number of Forecasts	Number of Wins	Win Rate	Expected Win Rate	Difference
10-20%				15%	
20-30%				25%	
30-40%				35%	
40-50%				45%	
50-60%				55%	
60-70%				65%	
70-80%				75%	
80-90%				85%	
90-100%				95%	

Journal Prompts:

- Are you overconfident or underconfident?
- Where is your calibration strongest? Weakest?
- What can you do to improve your calibration?
- How does your calibration compare to your self-assessment from Chapter 5?

Exercise 9.C: Emotional Review

Objective: Identify emotional patterns from the past month.

Instructions: Review your journal entries from the past month. Answer the following questions.

Question	Your Answer
When were you most emotional?	
What triggered those emotions?	
When were you most disciplined?	
Did you follow your stop rules?	
Did you follow your position sizing rules?	
Were there times you deviated from your process?	
What patterns emerged?	

Journal Prompts:

- What is your most common emotional trigger?
- What is your most common discipline failure?
- What can you do to reduce emotional trading?
- What can you do to increase discipline?

9.3 Connecting to Your Handbook

For this chapter, review:

- **Chapter 12:** The Professional Polymarket Workflow — This covers the full monthly review framework.
- **Chapter 18:** Building a Complete Polymarket Trading Operation — This covers performance tracking and analytics.
- **Chapter 19:** The Mathematics of Prediction Markets — This covers calibration and Brier scores in detail.

Workbook Checklist for Chapter 9

- I have completed Exercise 9.A (Strategy Evaluation)
- I have completed Exercise 9.B (Calibration Review)
- I have completed Exercise 9.C (Emotional Review)
- I have written journal entries for each exercise
- I have identified at least one strategy adjustment
- I have identified at least one calibration improvement
- I have identified at least one emotional pattern to address

Chapter 9 Summary

The monthly postmortem is where you evaluate your entire trading system. This chapter gave you a structured process: strategy evaluation, calibration review, and emotional review. Practice this routine monthly and notice how your trading evolves over time.

Before you proceed to Chapter 10:

- Complete one full monthly postmortem
- Identify one strategy adjustment
- Identify one calibration improvement
- Identify one emotional pattern to address
- What is the single most important thing you learned this month?

Chapter 10: The Trade Journal Template

Your handbook emphasizes that journals are one of the most underrated tools available to traders. By this point, you have practiced journaling throughout this workbook. Now it is time to establish a permanent journaling habit.

This chapter provides a reusable trade journal template, guidance on how to use it, and a structure for reviewing your entries over time.

10.1 Why a Standardized Journal Matters

You have been journaling throughout this workbook. Now it is time to formalize the practice.

A standardized journal does three things:

1. **It ensures consistency.** Every trade is recorded the same way, making comparison and pattern recognition easier.
2. **It captures what matters.** The template forces you to record the information that drives improvement: thesis, probability, sizing, and lessons learned.
3. **It creates a permanent record.** Human memory fades. A journal preserves reality.

10.2 The Complete Trade Journal Template

Use this template for every trade, paper or real.

TRADE JOURNAL ENTRY

Trade ID: ________ Date: ________

Market: ____

Resolution Date: ________

Side: YES / NO

Entry Price: ________ Shares: ________ Total Cost: ________

PROBABILITY & EDGE

Estimated Probability: ________%

Market Price at Entry: ________%

Edge: ________%

THESIS

Why did you enter? (Minimum 3 sentences):

____

____

____

DISCONFIRMING EVIDENCE

What would change your mind?

____

____

EXIT

Exit Price: ________ Exit Date: ________

Reason for Exit: ________________________________

P&L: ________

Return %: ________

LESSONS LEARNED

What did this trade teach you?

____

____

____

GRADE: ________

10.3 The Five Journal Prompts

For every trade, answer these five questions. They are designed to force honesty and reflection.

1. **Why did I enter this trade?** (Be specific. "I thought it would go up" is insufficient. What evidence did you have? What was your thesis?)
2. **What probability did I assign, and why?** (How did you arrive at your estimate? What information did you use?)
3. **Why did I choose this position size?** (Was it based on your risk rules? Did you follow the 1-3% rule? If not, why not?)
4. **What evidence would make me exit?** (What would have to happen for you to change your mind? This forces you to think about what would disconfirm your thesis.)
5. **Did I follow my process? Why or why not?** (This is the most important question. It forces accountability.)

Exercise 10.A: Create Your Journal

Objective: Create a permanent journal using the template above.

Instructions:

1. Choose your format:
    - **Physical notebook:** Write entries by hand. This can improve retention.
    - **Digital document:** Use a word processor or note-taking app. This makes searching and reviewing easier.
    - **Spreadsheet:** Use the template in a spreadsheet for easy analysis.
2. Create at least 50 blank journal pages or entries using the template.
3. Set a reminder to complete a journal entry for every trade, paper or real.

Journal Prompt:

- Which format did you choose? Why?
- How will you ensure you complete an entry for every trade?

10.4 Using Your Journal for Review

A journal is only useful if you review it. Here is a simple review process:

Weekly Review (5 minutes):

- Scan your entries from the past week.
- Look for patterns in your grades.
- Identify one improvement to make next week.

Monthly Review (15 minutes):

- Review all entries from the past month.
- Group trades by category (elections, crypto, etc.) and calculate performance.
- Group trades by grade and identify patterns.
- Update your calibration table.

Quarterly Review (30 minutes):

- Review all entries from the past quarter.
- Calculate your overall metrics: win rate, average gain, average loss, profit factor, Sharpe ratio.
- Identify your strongest and weakest categories.
- Identify your most common mistakes.
- Set goals for the next quarter.

Exercise 10.B: Journal Review Practice

Objective: Practice reviewing journal entries and identifying patterns.

Instructions: Review the sample journal entries below. Identify at least three patterns.

Sample Journal Entries:

Trade	Market Type	Entry	Exit	P&L	Grade	Lesson Learned
001	Election	45¢	58¢	+$130	A	Trusted my thesis; waited for repricing
002	Election	30¢	25¢	-$50	D	Entered without clear thesis
003	Election	55¢	62¢	+$70	B	Good thesis but could have sized larger
004	Crypto	40¢	42¢	+$20	C	Small edge, but executed well
005	Crypto	60¢	55¢	-$50	D	Followed FOMO; should have passed

Trade	Market Type	Entry	Exit	P&L	Grade	Lesson Learned
006	Crypto	50¢	48¢	-$20	C	Thesis was weak; cut loss early
007	Economic	70¢	75¢	+$50	B	Good trade, but held too long
008	Economic	45¢	52¢	+$70	A	Clear edge, executed perfectly
009	Economic	55¢	53¢	-$20	C	Thesis was marginal; should have passed
010	Economic	40¢	38¢	-$20	D	Entered without checking liquidity

Pattern Identification:

Pattern	What You Notice
1	
2	
3	

Journal Prompts:

- Which market type performed best? Worst?
- What patterns do you see in the A and B trades?
- What patterns do you see in the D and F trades?
- What is the most common mistake in this sample?

10.5 The Grade System

Use this grade system for every trade:

Grade	Meaning
A	Journaled every trade + followed position-sizing rules on every trade + clear, evidence-based thesis recorded before every entry + no stop-rule violations. Return is not a factor.
B	Journaled at least 90% of trades + followed position-sizing rules on at least 90% of trades + thesis recorded for most entries + at most one stop-rule violation. Return is not a factor.
C	Journaled at least 70% of trades + at least one sizing or stop-rule violation + thesis quality inconsistent.
D	Journaled fewer than 70% of trades, or multiple sizing/stop-rule violations, or repeated entries without a recorded thesis, regardless of return.
F	Blown account or abandoned challenge before day 30.

> Remember: A profitable trade can earn an F if the process was terrible. A losing trade can earn an A if the process was excellent. Grade the process, not the outcome.

10.6 Connecting to Your Handbook

For this chapter, review:

- **Chapter 11:** A Complete Polymarket Trading Framework — This covers the full trading process that your journal should capture.
- **Chapter 15:** Complete Case Studies — This shows a complete trade from research to post-mortem.
- **Chapter 18:** Building a Complete Polymarket Trading Operation — This covers record keeping and analytics.

Workbook Checklist for Chapter 10

- I have created my permanent journal
- I have created at least 50 blank journal pages or entries
- I have completed Exercise 10.B (Journal Review Practice)
- I have answered the five journal prompts for my first entry
- I have established a review schedule (weekly, monthly, quarterly)

Chapter 10 Summary

A trade journal is one of your most valuable trading tools. This chapter provided a complete template, five essential journal prompts, a grade system, and a review schedule. Use this journal for every trade, paper or real, and review it regularly to identify patterns and drive improvement.

Before you proceed to Chapter 11:

- Create your permanent journal
- Complete your first journal entry
- Establish your review schedule
- What is your biggest takeaway from this chapter?

Chapter 11: Copy Trading Analysis

By this point, you have developed your own process, practiced extensively, and built a journaling habit. Now it is time to look outward. The Polymarket leaderboard shows the most profitable traders. But not every profitable trader is worth copying.

This chapter teaches you how to distinguish genuine "smart money" from lucky streaks, and how to learn from other traders without blindly following them.

11.1 The Leaderboard Illusion

Your handbook warns about the leaderboard trap. The top traders are visible. Their wins are visible. Their losses are not. A trader with a 90% win rate over 10 trades looks like a genius. A trader with a 90% win rate over 100 trades is probably displaying more skill than luck.

The problem: You see what they did. You do not see why they did it. You do not know their risk tolerance, their thesis, their hedge structure, or their time horizon.

> **The lesson:** Copying blindly is dangerous. But analyzing thoughtfully can teach you something.

11.2 What to Look For

When analyzing another trader, look for these characteristics:

Characteristic	Why It Matters
Win Rate	High win rate suggests skill. But remember: a 90% win rate on 99% markets is not impressive.
PNL	Total profit is important. But a trader with $50,000 profit and $100,000 risk is different from one with $50,000 profit and $10,000 risk.
Market Count	A trader with 500 trades has more data than a trader with 10 trades. More trades = more evidence of skill.
Holding Period	A trader who holds to resolution is different from a trader who exits early. Which style matches yours?
Profit Structure	Does the trader win big and lose small? Or win small and lose big? The first is sustainable. The second is not.

Exercise 11.A: Smart Money Analysis

Objective: Analyze a top trader from the Polymarket leaderboard.

Instructions:

1. Open the Polymarket leaderboard.
2. Choose one trader who appears consistently profitable.
3. Answer the following questions.

Basic Information:

Question	**Answer**
Trader's username	
Number of trades	
Win rate	
Total PNL	
Average position size	

Analysis:

Question	**Answer**
What markets does this trader focus on? (Elections? Crypto? Economic?)	
Does the trader hold to resolution or exit early?	
What is the win/loss structure? (Big wins + small losses, or small wins + big losses?)	

Question	Answer
Is this trader consistently profitable over time, or did they have one huge lucky trade?	
What can you learn from this trader's approach?	

Journal Prompts:

- Would you copy this trader's positions? Why or why not?
- What did you learn from analyzing this trader?
- What questions would you ask this trader if you could?

Exercise 11.B: Copy Trade Simulation

Objective: Simulate copying one trader's positions for one month and evaluate the results.

Instructions:

1. Identify a trader you want to simulate copying.
2. For one month, track every trade this trader makes.
3. Record: entry price, exit price, side, market, and P&L.
4. At the end of the month, compare your simulated results to your own trading results.

Trade Tracking:

Date	Market	Side	Entry	Exit	P&L

Comparison:

Metric	My Trading	Copy Trading
Win Rate		
Average Gain		
Average Loss		
Profit Factor		
Total P&L		

Journal Prompts:

- Did copy trading outperform your own trading?
- What were the risks of copying this trader?
- Would you trust this trader again? Why or why not?
- What did you learn from this exercise?

11.3 The Copy Trading Framework

If you decide to copy another trader, follow this framework:

Before copying:

1. Analyze the trader's history. Minimum 100 trades.
2. Understand their strategy. Do they trade elections? Crypto? Economic releases?
3. Understand their risk profile. Do they size aggressively or conservatively?
4. Understand their time horizon. Do they hold to resolution or exit early?

While copying:

1. Start small. Copy with a fraction of your normal position size.
2. Track everything. Use your journal to record copy trades separately.
3. Review regularly. Is the trader still performing? Has their strategy changed?

After copying:

1. Evaluate. Did copy trading improve your results?

2. Learn. What can you incorporate into your own strategy?
3. Decide. Continue, adjust, or stop?

11.4 The Dangers of Copy Trading

Copy trading has real dangers:

Danger	Why It Happens	How to Avoid
Survivorship Bias	You only see the winners. Losers disappear.	Analyze the trader's full history, not just current results.
Lucky Streaks	A trader with 10 wins in a row might be lucky, not skilled.	Look for consistency over at least 100 trades.
Changing Strategies	A trader who was successful might change their approach.	Monitor the trader's recent activity. Is it consistent with their history?
Hidden Risk	You see the trades. You don't see the risk management.	Copy with caution. Never risk more than you can afford to lose.

11.5 Connecting to Your Handbook

For this chapter, review:

- **Chapter 17:** What Separates Consistently Profitable Traders — This covers the habits and routines of successful traders.
- **Chapter 26:** The Reality of Polymarket — This covers survivorship bias.
- **Chapter 27:** The Things Nobody Tells You — This covers whale behavior and smart money analysis.

Workbook Checklist for Chapter 11

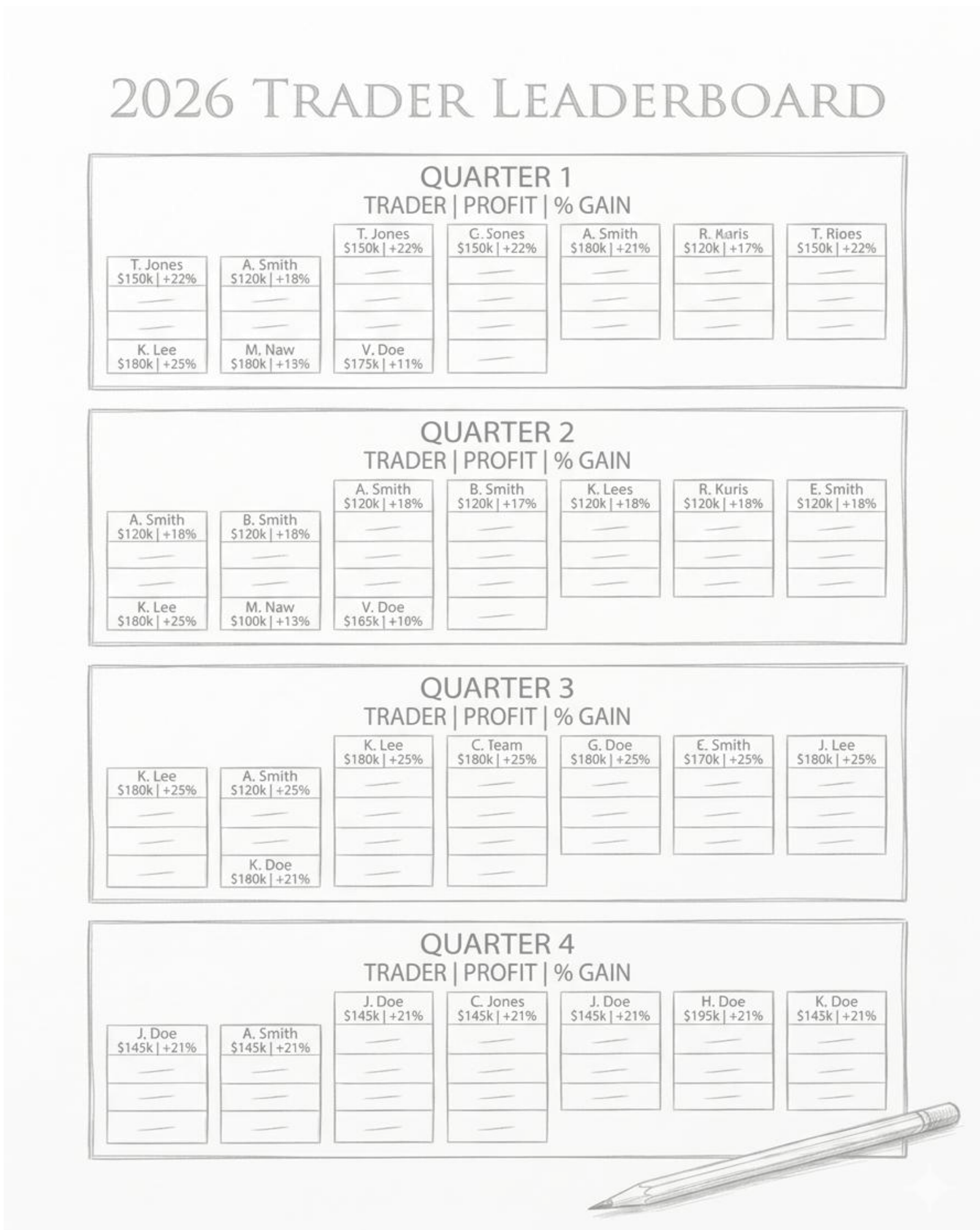
- I have completed Exercise 11.A (Smart Money Analysis)
- I have completed Exercise 11.B (Copy Trade Simulation)
- I have written journal entries for each exercise
- I have identified at least one trader worth analyzing
- I have identified at least one lesson to apply to my own trading

Chapter 11 Summary

The Polymarket leaderboard shows successful traders. But not every successful trader is worth copying. This chapter taught you how to analyze other traders, distinguish skill from luck, and run a copy trade simulation. Use these tools to learn from others without blindly following them.

Before you proceed to Chapter 12:

- Analyze one trader from the leaderboard
- Complete the copy trade simulation if you choose to run it
- What is the single most important lesson you learned from analyzing another trader?



Chapter 12: Arbitrage and Cross-Market Exercises

Your handbook devotes multiple sections to advanced strategies: Chapter 22 covers arbitrage, hedging and synthetic positions. This chapter gives you practice identifying and evaluating these opportunities.

By the end of this chapter, you will be able to identify arbitrage opportunities, evaluate cross-market inconsistencies, and decide whether an opportunity is real or illusory.

12.1 What Is Arbitrage?

Your handbook defines arbitrage as a situation where pricing inconsistencies create profit opportunities with little or no directional risk. In practice, true arbitrage is rare. But understanding it teaches you to think in terms of market relationships.

The basic principle: For mutually exclusive outcomes, total probabilities should equal 100%.

Situation	Example	Opportunity
Underround	YES 48¢ + NO 47¢ = 95¢	Buy both, profit 5¢
Overround	YES 55¢ + NO 50¢ = 105¢	Sell both (if possible), profit 5¢

Important: These opportunities are rare and disappear quickly. But identifying them teaches you to see market relationships.

Exercise 12.A: YES/NO Arbitrage Scan

Objective: Practice scanning for YES/NO arbitrage opportunities.

Instructions: For each market below, calculate the total probability (YES + NO). Identify any arbitrage opportunities.

Market	YES Price	NO Price	Total	Arbitrage?
1	52¢	49¢		
2	48¢	47¢		
3	55¢	50¢		

Market	YES Price	NO Price	Total	Arbitrage?
4	60¢	38¢		
5	45¢	45¢		
6	70¢	29¢		
7	51¢	50¢		
8	49¢	52¢		
9	40¢	45¢		
10	65¢	35¢		

Analysis:

For any market with total < 100% (underround):

- Potential profit = 100% − Total
- Example: YES 48¢ + NO 47¢ = 95¢ → profit 5¢

For any market with total > 100% (overround):

- Selling both sides would create profit, but selling short is not always possible.

Journal Prompts:

- Which markets had arbitrage opportunities?
- Are these opportunities realistic? (Consider liquidity, execution costs, and timing.)
- Why do you think these opportunities exist?

12.2 Cross-Market Arbitrage

Your handbook explains that related markets should generally remain mathematically consistent. When they don't, a cross-market arbitrage opportunity may exist.

Example: A national election market and state-level markets should imply consistent probabilities. If the national market is 55% but state-level markets imply 62%, there may be an opportunity.

Important: Not every inconsistency is arbitrage. Some reflect hidden assumptions, correlation effects, or resolution differences. Always investigate before acting.

Exercise 12.B: Cross-Market Consistency Check

Objective: Practice identifying cross-market inconsistencies.

Instructions: For each scenario below, determine whether the probabilities are consistent.

Scenario A: Election Markets

- Market 1: Candidate X wins presidency: 55%
- Market 2: Candidate X wins State A: 50%
- Market 3: Candidate X wins State B: 45%

Are these consistent? Why or why not?

Scenario B: Party Control Markets

- Market 1: Party Y wins Senate majority: 60%
- Market 2: Party Y wins House majority: 55%
- Market 3: Party Y wins presidency: 50%

Are these consistent? Why or why not?

Scenario C: Conditional Probability

- Market 1: Candidate X wins presidency: 60%
- Market 2: Candidate X wins State A (if they win presidency): 80%

Is this consistent? What does this imply about the probability of Candidate X winning both?

Scenario D: Related Events

- Market 1: Bitcoin exceeds $200,000 this year: 40%
- Market 2: Bitcoin exceeds $150,000 this year: 60%

Are these consistent? Why or why not?

Journal Prompts:

- Which scenarios were consistent? Which were not?
- What assumptions did you need to make to evaluate consistency?
- What would you do if you found an inconsistency?

12.3 Synthetic Positions

Your handbook explains that a synthetic position replicates another position through alternative contracts. This concept becomes important when markets become inconsistent.

Example: Suppose the national election market is expensive (70%), but state-level markets imply a lower probability (65%). You could create a synthetic position using state-level markets instead of buying the expensive national market directly.

Exercise 12.C: Synthetic Position Identification

Objective: Identify opportunities to create synthetic positions.

Instructions: For each scenario below, identify whether a synthetic position exists and whether it is better than direct exposure.

Scenario A:

- Market 1: Candidate X wins presidency: 60%
- Market 2: Candidate X wins State A: 55%
- Market 3: Candidate X wins State B: 50%

Can you create a synthetic position that replicates Candidate X winning presidency? What would it cost?

Scenario B:

- Market 1: Party Y wins Senate majority: 65%
- Market 2: Party Y wins three specific Senate seats: 55%

Is there a synthetic position here? Would you use it?

Scenario C:

- Market 1: Bitcoin exceeds $200,000: 40%
- Market 2: Bitcoin exceeds $150,000: 55%

Is there a synthetic position here? What does it imply?

Journal Prompts:

- Which synthetic positions were attractive? Why?
- What are the risks of synthetic positions?
- How do liquidity and execution costs affect synthetic positions?

12.4 Hedging Opportunities

Your handbook explains that hedging reduces risk at the cost of some upside. This exercise gives you practice identifying hedging opportunities.

Exercise 12.D: Hedging Identification

Objective: Practice identifying hedging opportunities.

Instructions: For each scenario below, identify whether a hedge is appropriate and what it would look like.

Scenario A:

- You hold $1,000 YES on Candidate X winning the election.
- You are concerned about a negative news event in the next two weeks.
- What would a hedge look like?

Scenario B:

- You hold $500 YES on Bitcoin exceeding $150,000.
- You also hold $500 YES on Bitcoin exceeding $100,000.
- Are you hedged? What is your exposure?

Scenario C:

- You hold $1,000 YES on Party Y winning the Senate.
- You hold $500 YES on Party Y winning the House.
- What is your total exposure to Party Y? Would you hedge?

Journal Prompts:

- Which scenarios called for hedging? Why?
- What is the cost of hedging in each scenario?
- When would you choose not to hedge?

12.5 The Arbitrage Checklist

Before acting on any arbitrage opportunity, use this checklist:

Question	Yes/No
Are the outcomes truly mutually exclusive?	
Are the outcomes collectively exhaustive?	
Do the resolution rules match?	
Are correlations understood?	
Is liquidity sufficient?	
Do fees eliminate the edge?	
Is capital tied up too long?	

If you answer "no" to any question, proceed with caution. Many apparent arbitrages disappear after careful analysis.

12.6 Connecting to Your Handbook

For this chapter, review:

- **Chapter 22:** Advanced Strategies — This covers arbitrage, cross-market relationships, and synthetic positions.

Workbook Checklist for Chapter 12

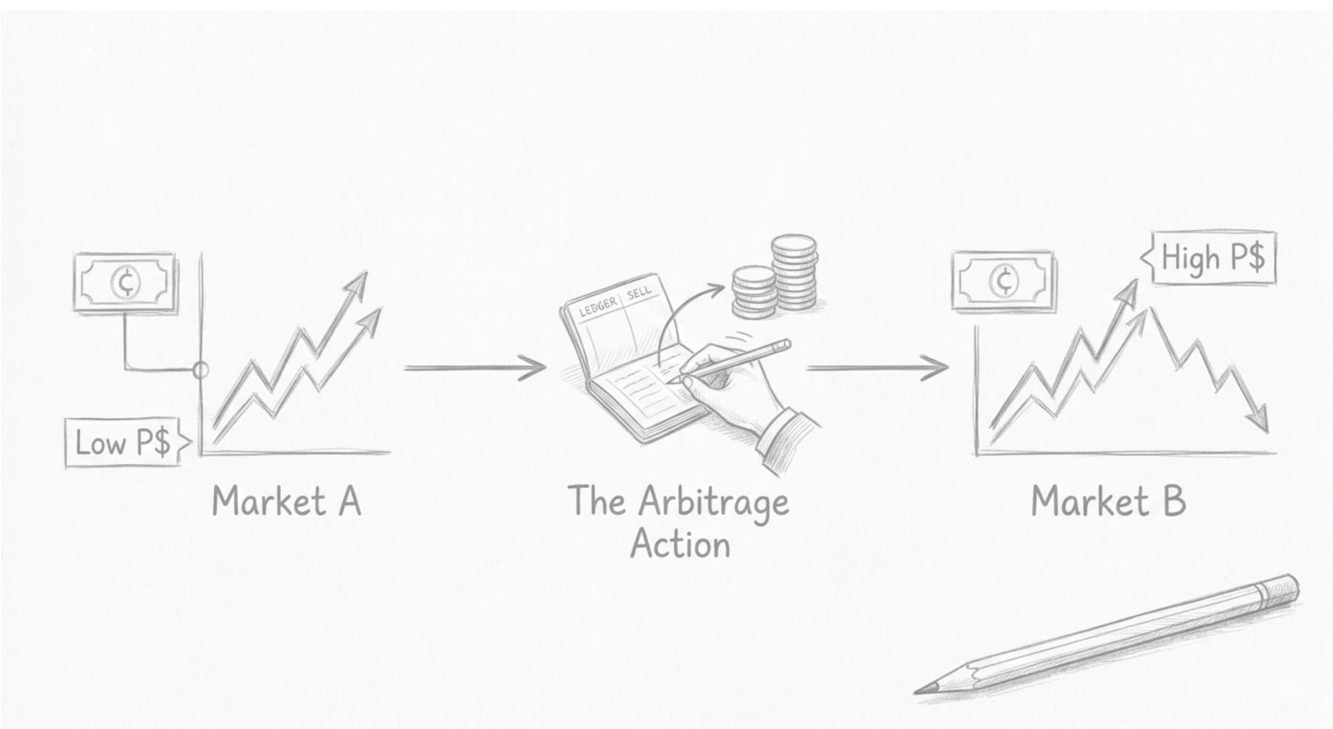
- I have completed Exercise 12.A (YES/NO Arbitrage Scan)
- I have completed Exercise 12.B (Cross-Market Consistency Check)
- I have completed Exercise 12.C (Synthetic Position Identification)
- I have completed Exercise 12.D (Hedging Identification)
- I have written journal entries for each exercise
- I have identified at least one real-world arbitrage opportunity (if available)

Chapter 12 Summary

Arbitrage and cross-market opportunities are rare but valuable. This chapter gave you practice identifying underrounds, overrounds, cross-market inconsistencies, synthetic positions, and hedging opportunities. Use these tools to think in terms of market relationships rather than isolated trades.

Before you proceed to Chapter 13:

- Complete the YES/NO arbitrage scan for real markets
- Check for cross-market inconsistencies in real markets
- What is the single most important lesson you learned about arbitrage?



Chapter 13: The Paper Trading Challenge

By this point, you have practiced all the core skills: EV calculation, order book reading, position sizing, psychology, journaling, and even advanced concepts like arbitrage and copy trading. Now it is time to put everything together in a structured challenge.

This chapter provides a 30-day paper trading challenge that tests your skills, builds discipline, and accelerates learning through competition.

13.1 Why Competition Accelerates Learning

Your handbook does not explicitly discuss competition, but the principle is well-established: competition creates accountability, focus, and motivation.

Why competition works:

- **Accountability.** You are more likely to follow your process when others are watching.
- **Focus.** A defined challenge with a clear endpoint sharpens attention.
- **Motivation.** The desire to perform well drives effort.
- **Feedback.** Comparing results with others reveals blind spots.

The 30-day challenge below can be done alone or with a group.

13.2 The 30-Day Paper Trading Challenge

Objective: Trade with paper capital for 30 days using all the skills from this workbook.

Rules:

1. **Starting Capital:** $10,000 paper money (or scale all figures to your tool's starting balance).
2. **Minimum Trades:** At least 10 trades over 30 days.
3. **Journaling:** Every trade must be journaled.
4. **Risk Rules:** Maximum 3% risk per trade. Maximum 10% risk per correlated cluster.
5. **Process:** Every trade must have a thesis, probability estimate, and exit plan.

Tracking:

Metric	Starting Value	Ending Value
Account Balance	$10,000	
Total Return	0%	
Win Rate		
Average Gain		
Average Loss		
Profit Factor		
Max Drawdown		
Sharpe Ratio		

Scoring:

Score	Criteria
A	Positive return + profit factor > 1.5 + journaled every trade
B	Positive return + profit factor > 1.0 + journaled most trades
C	Breakeven or small loss + followed process
D	Negative return + process violations
F	Blown account or abandoned challenge

Exercise 13.A: The 30-Day Challenge

Objective: Complete the 30-day paper trading challenge.

Instructions:

1. Set up your paper trading account with $10,000 paper capital.
2. Trade for 30 days following the rules above.
3. Track your progress daily using the tracking table.
4. Journal every trade.

Daily Tracking:

Day	Account Balance	Daily P&L	Trades Today	Notes
1	$10,000			
2				
3				
4				
5				
6				
7				
8				
9				
10				
11				
12				
13				

Day	Account Balance	Daily P&L	Trades Today	Notes
14				
15				
16				
17				
18				
19				
20				
21				
22				
23				
24				
25				
26				
27				
28				
29				
30				

Final Metrics:

Metric	Value
Starting Balance	$10,000
Ending Balance	
Total Return	
Win Rate	
Average Gain	
Average Loss	
Profit Factor	
Max Drawdown	
Sharpe Ratio	
Number of Trades	
Journal Completion Rate	

Journal Prompts:

- What was the hardest part of the challenge?
- What was the most surprising result?
- What would you do differently next time?
- What is your overall grade for the challenge?
- Are you ready to trade with real money?

13.3 The Thesis Challenge

The thesis challenge is a different kind of competition. Instead of trading, you compete on the quality of your analysis.

Objective: Write a detailed thesis on a single market and defend it.

Rules:

1. Choose one market.
2. Write a detailed thesis (500+ words) explaining your view.
3. Include: probability estimate, supporting evidence, contradictory evidence, and a plan for handling new information.
4. Present your thesis to a partner or group.
5. Have them argue the opposing view.
6. After the market resolves, review who was right.

Exercise 13.B: The Thesis Challenge

Objective: Write and defend a detailed thesis.

Instructions:

1. Choose a market with at least one week until resolution.
2. Write your thesis using the template below.
3. Present your thesis to a partner or group.
4. Defend your view against opposing arguments.
5. Track the outcome.

Thesis Template:

MARKET: ____

MY VIEW: YES / NO

PROBABILITY ESTIMATE: _________%

THESIS (Why I hold this view):

____

____

____

____

EVIDENCE SUPPORTING MY VIEW:

1. ____

2. ____

3. ____

EVIDENCE CONTRADICTING MY VIEW:

1. ____

2. ____

3. ____

WHAT WOULD CHANGE MY MIND:

____

____

RESOLUTION DATE: _________

OUTCOME: _________

WAS MY THESIS CORRECT? _________

LESSONS LEARNED:

____

____

Journal Prompts:

- How did it feel to defend your thesis?
- What opposing arguments were strongest?
- What did you learn from the debate?
- How did the outcome compare to your thesis?

13.4 Running a Group Challenge

If you have friends or colleagues interested in trading, you can run the challenge as a group.

How to run a group challenge:

1. **Recruit participants.** Find 3-10 people interested in Polymarket trading.
2. **Set rules.** Agree on starting capital, duration, and scoring.
3. **Track progress.** Use a shared spreadsheet to track everyone's results.
4. **Share journals.** Encourage participants to share insights from their journals.
5. **Declare a winner.** The trader with the highest process-adherence grade wins; if multiple traders tie on grade, use Sharpe ratio (not raw return) as the tiebreaker, since Sharpe ratio adjusts for risk taken and raw return does not.

Benefits of a group challenge:

- Accountability to others
- Diverse perspectives
- Shared learning
- Friendly competition

13.5 Connecting to Your Handbook

For this chapter, review:

- **Chapter 12:** The Professional Polymarket Workflow — This covers the daily, weekly, and monthly routines that the challenge reinforces.
- **Chapter 16:** Scaling Your Trading Account — This covers the development plan from beginner to consistent trader.
- **Chapter 28:** The Complete Reality Check — This covers what to expect in your first year.

Workbook Checklist for Chapter 13

- I have completed Exercise 13.A (The 30-Day Challenge)
- I have completed Exercise 13.B (The Thesis Challenge)
- I have written journal entries for each exercise
- I have calculated my final metrics
- I have identified my strengths and weaknesses from the challenge
- I have decided whether I am ready to trade with real money

Chapter 13 Summary

The 30-day paper trading challenge puts everything together. It tests your skills, builds discipline, and reveals your strengths and weaknesses. The thesis challenge sharpens your analytical skills. Running a group challenge adds accountability and shared learning.

Before you proceed to Chapter 14:

- Complete the 30-day challenge (if you haven't already)
- Identify your strongest skill from the challenge
- Identify your weakest skill from the challenge
- What is the single most important lesson you learned?

Chapter 14: Progress Tracker

You have completed the workbook exercises, practiced paper trading, journaled your trades, and developed a routine. Now it is time to measure your progress over time.

This chapter provides a framework for tracking your improvement across months and quarters. It also shows you how to use tools like Polysights as part of your ongoing development.

14.1 Why Track Progress?

Without tracking, improvement is guesswork. With tracking, improvement is measurable.

What tracking tells you:

- Are you improving over time?
- Which skills are strongest? Weakest?
- Is your edge real or imagined?
- Are you ready to scale?

14.2 The Metrics Dashboard

Track these metrics monthly:

Metric	Month 1	Month 2	Month 3	Month 4	Month 5	Month 6
Win Rate						
Average Gain						
Average Loss						
Profit Factor						
EV per Trade						
Max Drawdown						
Sharpe Ratio						
Average Brier Score						
Number of Trades						
Journal Completion %						

How to calculate each metric:

Metric	**Formula**
Win Rate	Wins / Total Trades
Average Gain	Total Gains / Number of Wins
Average Loss	Total Losses / Number of Losses
Profit Factor	Total Gains / Total Losses
EV per Trade	(Total P&L) / Number of Trades
Max Drawdown	Largest peak-to-trough decline
Sharpe Ratio	(Return − Risk-Free Rate) / Standard Deviation
Average Brier Score	Average Brier Score

Exercise 14.A: Metrics Dashboard

Objective: Create and maintain a metrics dashboard.

Instructions:

1. Create a spreadsheet or document with the metrics dashboard above.
2. At the end of each month, update your metrics.
3. Review your progress quarterly.

Journal Prompts:

- Which metrics improved this month?
- Which metrics worsened?
- What is your biggest area for improvement?
- What is your biggest strength?

14.3 The Milestone Tracker

Use these milestones to measure your development:

Milestone	Target	Status
1	Complete 50 journal entries	
2	Achieve a Sharpe ratio above 1.0, calculated using your monthly returns, over the period covering your first 100 trades.	
3	Identify your strongest market category	
4	Consistently place limit orders before entering	
5	Complete a full monthly postmortem	
6	Achieve profit factor > 1.5 over 100 trades	
7	Max drawdown < 10% over 100 trades	
8	Average Brier score below 0.20	
9	Complete 100 journal entries	
10	Achieve positive EV per trade over 100 trades	

Exercise 14.B: The Milestone Tracker

Objective: Track your progress toward key milestones.

Instructions:

1. Copy the milestone tracker above.
2. At the end of each month, update your status.
3. Celebrate completed milestones.
4. Identify what is blocking incomplete milestones.

Journal Prompts:

- Which milestone are you closest to completing?
- Which milestone is furthest away?
- What is blocking your progress?
- What can you do to accelerate your progress?

14.4 Using Tools to Support Your Progress

As you track your progress, consider whether third-party analytics tools could help you identify patterns or opportunities more efficiently.

Polysights is one such tool. It tracks notable market movements and flagged accounts. Some traders find its "Recently Flagged" section useful for discovering markets they might otherwise miss, and its "Radar Score" provides a rough signal of potential significance.

When Polysights might be useful:

- You want to see which markets have unusual activity
- You are looking for markets worth investigating
- You want a second data point to complement your own analysis

When Polysights is not a substitute:

- It does not replace your own probability estimation
- It does not replace your own thesis development
- It does not replace your own risk management

Use it as a discovery tool, not a decision-making tool.

14.5 The Quarterly Review

Every quarter, conduct a deeper review of your progress.

Questions to answer:

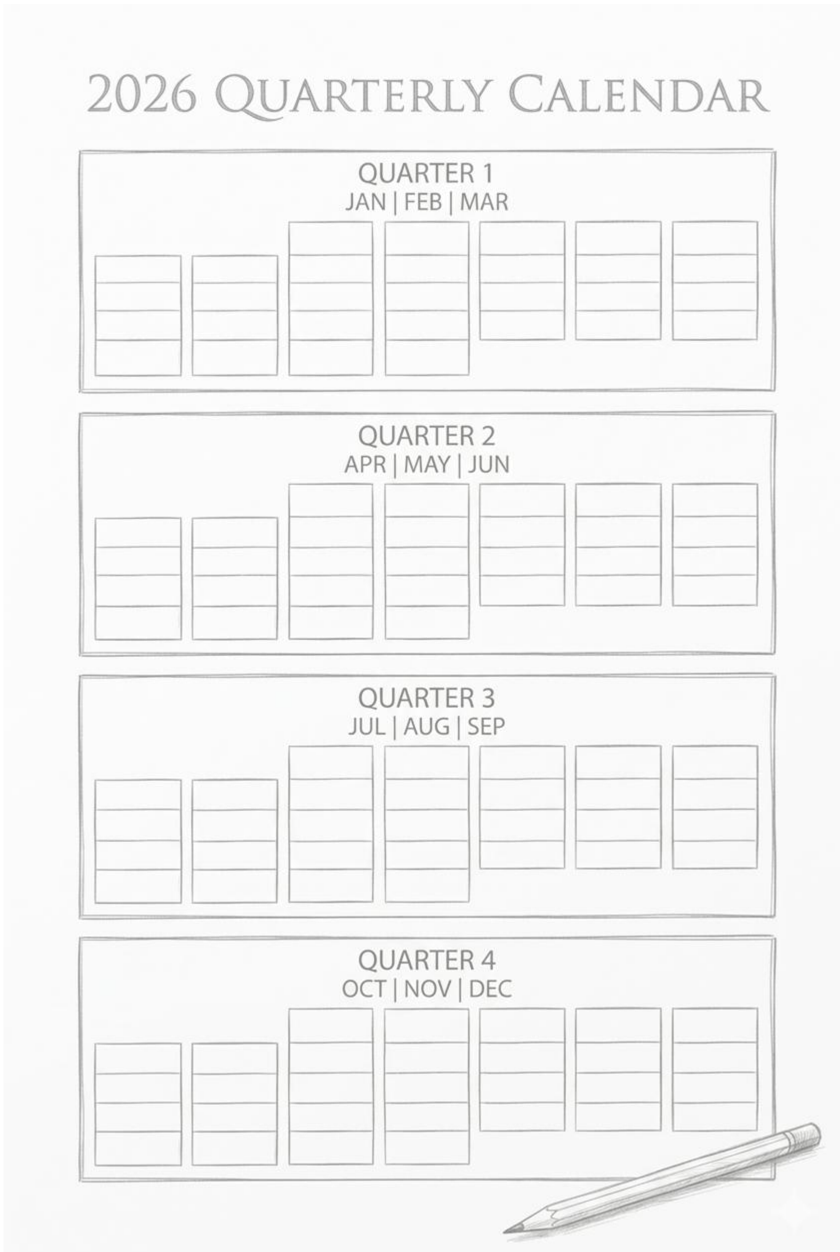
1. **Performance:** How have my metrics changed over the quarter? Am I improving?
2. **Strategy:** Which categories performed best? Worst? Should I specialize or diversify?
3. **Process:** Have I followed my process consistently? Where did I deviate?
4. **Psychology:** When was I most emotional? Most disciplined? What patterns emerged?
5. **Calibration:** Are my probabilities accurate? Am I overconfident or underconfident?
6. **Goals:** What were my goals for this quarter? Did I achieve them?
7. **Next Quarter:** What are my goals for next quarter? What do I need to work on?

Exercise 14.C: The Quarterly Review

Objective: Conduct a quarterly review of your trading.

Instructions:

1. At the end of each quarter, review your metrics dashboard.
2. Answer the quarterly review questions above.
3. Set goals for the next quarter.



Quarterly Review Template (following page):

QUARTERLY REVIEW Quarter Ending: ________

1. **PERFORMANCE**

Starting Balance: $________

Ending Balance: $________

Total Return: ________%

Win Rate: ________%

Profit Factor: ________

Sharpe Ratio: ________

Max Drawdown: ________%

Average Brier Score: ________

2. **STRATEGY**

Best Performing Category: ________

Worst Performing Category: ________

Should I specialize more? ________

Should I diversify more? ________

3. **PROCESS**

Did I follow my process consistently? ________

Where did I deviate? ________

What was my most common process violation? ________

4. **PSYCHOLOGY**

When was I most emotional? ________

When was I most disciplined? ________

What emotional patterns emerged? ________

5. **GOALS FOR NEXT QUARTER**

Goal 1: ____

Goal 2: ____

Goal 3: ____

6. **SINGLE MOST IMPORTANT LESSON**

____

____

14.6 Connecting to Your Handbook

For this chapter, review:

- **Chapter 18:** Building a Complete Polymarket Trading Operation — This covers performance tracking, analytics, and scaling.
- **Chapter 26:** The Reality of Polymarket — This covers what separates long-term winners from losers.
- **Chapter 28:** The Complete Reality Check — This covers what to expect in your first year.

Workbook Checklist for Chapter 14

- I have created my metrics dashboard
- I have created my milestone tracker
- I have completed Exercise 14.A (Metrics Dashboard)
- I have completed Exercise 14.B (The Milestone Tracker)
- I have completed Exercise 14.C (The Quarterly Review)
- I have written journal entries for each exercise
- I have set goals for the next quarter

Chapter 14 Summary

Progress tracking turns guesswork into data. This chapter gave you a metrics dashboard, milestone tracker, and quarterly review framework. Use these tools to measure your improvement over time and identify areas for growth.

Before you proceed to the Appendices:

- Complete your metrics dashboard
- Identify your current milestones
- Set goals for the next quarter
- What is the single most important thing you learned from this workbook?

Also, congratulations on making it this far! You are now ready to be part of the 3% club. Trade safely.

Appendix A: Trade Journal Template

Print this page and use it for every trade. Each page holds one trade entry. Make as many copies as you need.

Trade #: ________

Date: ________

Market: ____

Resolution Date: ________

Side: YES / NO

Entry Price: ________ Shares: ________ Total Cost: ________

Estimated Probability: ________% Market Price: ________% Edge: ________%

Thesis (Why did you enter?):

Disconfirming Evidence (What would change your mind?):

Exit Price: ________ Exit Date: ________

Reason for Exit: ___________________________________

P&L: ________ Return %: ________

Lessons Learned:

Grade: ________ Process Followed? Yes / No

Appendix B: Calibration Tracker

Use this page to track your calibration accuracy. Group your probability estimates into buckets and calculate the win rate for each bucket.

Bucket	Forecasts	Wins	Win Rate	Expected Rate	Difference
0-10%				5%	
10-20%				15%	
20-30%				25%	
30-40%				35%	
40-50%				45%	
50-60%				55%	
60-70%				65%	
70-80%				75%	
80-90%				85%	
90-100%				95%	

Appendix C: Position Sizing Calculator

Use this page to calculate position sizes for different bankrolls, risk percentages, and entry prices.

Formula: Maximum Shares = (Bankroll × Risk%) / Entry Price

Bankroll	Risk%	Entry Price	Risk Amount	Max Shares
$500	1%			
$500	2%			
$500	3%			
$1,000	1%			
$1,000	2%			
$1,000	3%			
$2,000	1%			
$2,000	2%			
$2,000	3%			
$5,000	1%			
$5,000	2%			
$5,000	3%			
$10,000	1%			
$10,000	2%			
$10,000	3%			

Appendix D: Kelly Calculator

Use this page to calculate Kelly fractions for different scenarios.

Formula: $f = (p \times (b + 1) - 1) / b$

Market Price	Your Estimate	b (Odds)	Full Kelly	1/2 Kelly	1/4 Kelly	1/8 Kelly
40%	55%					
40%	50%					
50%	60%					
50%	55%					
60%	70%					
60%	65%					
70%	80%					
70%	75%					

Appendix E: Paper Trading Tool Comparison and Polysights Guide

Use this page to compare paper trading tools. Ease of Use and Realism are your sections to fill in.

Feature	**PredictMirror**	**DemoMarket**	**PolyMock**
Platform	Chrome Extension	Chrome Extension	Web-based
Starting Capital	$1,000	Varies	$10,000
Live Prices	Yes	Yes	Yes
Order Book	Yes	Limited	Yes
P&L Tracking	Yes	Yes	Yes
Stats Dashboard	Yes	No	Limited
Leaderboard	No	No	Yes
Cost	Free	Free	Free
Ease of Use (1-5)			
Realism (1-5)			

My Choice: _________________

Why I chose it:

Note: Unlike the analytics platform section (directly below), where there is currently only one clear platform to recommend (based on my research, interviews with platform devs, and personal use), all three paper trading platforms are viable options. As such, I offer no specific recommendation, or instructions (beyond those already implied) as it will simply come down to personal preference. You can't go wrong in choosing any of these.

Practical Exercises with Polysights

Prerequisite: This appendix assumes you have read the Polysights section in the handbook, and understand the platform's basic features for tracking notable market movements and potential insider activity.

Disclosure: I have no financial relationship with Polysights. No compensation, referral fees, or equity. I interviewed their team while researching this book and now consider one developer a friend; I mention that so you can weigh it yourself. I include them here because I use this platform myself and find it genuinely singular and useful, not because of any business relationship.

Introduction to Polysights

Polysights is a third-party analytics platform that monitors Polymarket for suspicious trading patterns. Its "Insider Finder" tool flags accounts that make well-timed, large bets shortly before major news breaks. One analysis found that suspicious transactions tied to geopolitical events accounted for roughly $45 million since January (Bloomberg News, June 2026 — the same contested investigation cited earlier). The platform's creator reports that roughly 85% of flagged trades were winning (Bloomberg, reported via Gizmodo, January 2026).

Polysights offers several features beyond the Insider Finder, including:

- **Sports Data:** Live data and stat feeds for sports games.
- **Execution Layer:** Advanced order types including stop losses, iceberg orders, and TWAPs (Time-Weighted Average Price orders), with auto-routing to the best odds.
- **Portfolio Tracking:** Analytics and tracking for monitoring your own positions and performance.
- **Decentralized Research:** Research and analysis from real traders.

The upcoming V1 release will add a research platform, sports dashboard, portfolio tracking, and the full execution layer.

Use Polysights as a discovery and execution tool. It is useful for finding markets worth investigating and for executing trades more efficiently. It is not a substitute for your own judgment. Verify every signal against your own analysis.

Only about 3% of Polymarket accounts are consistently profitable. A tool that surfaces information you'd otherwise miss is worth having. That's the case for Polysights.

Exercise 1: Setting Up Polysights

Objective: Get familiar with the Polysights interface and locate key features.

Steps:

1. Navigate to https://www.polysights.xyz/
2. Explore the "Recently Flagged" section. Note the types of markets being flagged.
3. Examine the "Radar Score" for each flagged market. What does this score seem to represent?
4. Browse the "Featured" markets. What criteria do you think determines which markets appear here?

Journal Prompt:

- What did you notice about the types of markets that appear in "Recently Flagged"?
- How might this information help you discover opportunities you would otherwise miss?

Exercise 2: The Insider Finder Drill

Objective: Learn to interpret flagged accounts and decide whether to follow their trades.

Real Life Example: In October 2025, Polysights' Insider Finder flagged a brand-new wallet that bet $40,000, on its first trade, that OpenAI would launch an AI web browser before month-end, and won, netting roughly $7,000 (about 17.5% ROI in a matter of days). Polysights posted the flag publicly on X, characterizing the account as a potential insider (Bloomberg, reported via Gizmodo, January 2026).

Steps:

1. On the Polysights homepage, find a flagged market with a "Radar Score" above 70.
2. Click through to see the flagged wallet's activity.
3. Answer the following questions about the flagged wallet:
    - When was the wallet created?
    - What was the size of the bet relative to typical trades in that market?
    - Did the wallet make multiple related bets, or just one?
    - What was the timing of the bet relative to the market's resolution?
4. Decide: Does this activity pattern look like genuine insider trading, coincidence, or a sophisticated-but-legal trader? What would you do if you suspected the former?

Evaluation Criteria:

Signal	**What It Suggests**
Wallet created hours before trade	High suspicion of insider activity
Multiple related accounts making similar bets	Coordinated insider effort
Large bet relative to market liquidity	Strong conviction, potentially informed
Perfect timing (bet placed just before news)	Very high suspicion of insider knowledge

Journal Prompt:

- What factors would make you more confident this is illegal insider activity rather than skill or luck?
- What factors would make you more likely to ignore it?

Exercise 3: The Radar Score Challenge

Objective: Develop intuition for Polysights' "Radar Score" and learn to calibrate your attention.

Steps:

1. For one week, check Polysights daily.
2. Record the following for each flagged market:
   - The market name
   - The Radar Score (if displayed)
   - The reason flagged (if visible)
   - Your initial reaction: opportunity or noise?
3. After one week, review your notes.
   - Which flagged markets performed well?
   - Which performed poorly?
   - Were there patterns in the Radar Scores that predicted outcomes?

Journal Prompt:

- Did high Radar Scores correlate with profitable trades?
- Were there any "false alarms" where a high score didn't lead to a good trade?
- How might you adjust your use of the Radar Score going forward?

Exercise 4: Following the Smart Money

Objective: Use Polysights to identify and track potential informed traders.

Background: Polysights' Insider Finder is one of the first tools to systematically track potential insider trading on Polymarket. As Polysights founder Tre Upshaw told Bloomberg, "insider trading just accelerates the truth faster at the end of the day." The question is how to use that information; especially as proven insider trading is illegal, and can lead to prosecution.

Steps:

1. Identify a flagged wallet that appears to have a strong track record.
2. Follow that wallet's activity for one week.
3. Record the wallet's trades: market, side, entry price, size, timing.

4. At the end of the week, evaluate:
    - Did following this wallet produce better results than your own trading?
    - What was the risk/reward profile?
    - Would you trust this wallet again?

Journal Prompt:

- What did you learn from tracking this wallet?
- What legal and platform risks would you be exposed to if you systematically copied flagged wallets?
- What are the risks of following flagged accounts?

Exercise 5: Correlating News and Flagged Activity

Objective: Use Polysights to detect patterns between flagged trades and subsequent news events.

Background: A Bloomberg News investigation (June 2026) analyzed Polymarket wallets tied to Iran-related markets and flagged several as well-timed enough to raise insider-trading questions. One wallet, created two hours before its first trade, built a position in "Yes" contracts on a US-Iran peace deal at odds as low as 6%, days before news of the agreement surfaced; Bloomberg's analysis put its eventual profit at roughly $370,000. Worth noting: Bloomberg's methodology on this specific trade has itself been publicly disputed by other on-chain analysts, who argue the actual profit and the strength of the "insider" case were both overstated. This is a useful reminder that even professional investigative reporting on these patterns isn't beyond question.

Steps:

1. Monitor Polysights for flagged activity in geopolitical markets.
2. When you spot a flagged trade, note:
    - The market
    - The size and timing of the trade
    - The current news cycle (what's public)
3. Track whether the flagged activity precedes a price move or news event.
4. Record the outcome.

Journal Prompt:

- How often did flagged activity precede a significant price move?
- How often did it precede actual news?
- What's your confidence in using Polysights as a leading indicator?

Exercise 6: The Skeptic's Challenge

Objective: Develop critical thinking about flagged accounts and avoid blindly following signals.

Background: Not every flagged account is necessarily an insider. Some are simply lucky. Some are sophisticated traders who interpret public information better than others. And some flagged trades may be part of a manipulation attempt rather than genuine insider knowledge.

Steps:

1. Find a flagged account that has made multiple trades.
2. Analyze the account's full history, not just the flagged trade.
3. Answer:
    - What is the account's overall win rate?
    - Is this likely skill, luck, or insider knowledge?
    - Would you follow this account? Why or why not?

Evaluation:

Profile	**Likely Explanation**	**Action**
Multiple flagged trades, high win rate	Likely insider or very skilled trader	Consider following cautiously
One flagged trade, no history	Potential insider; high risk to follow	Observe but don't follow blindly
Flagged trades that didn't pan out	Possibly noise or bad luck	Ignore

Journal Prompt:

- What made you trust or distrust this flagged account?
- How would you distinguish between a skilled trader and a lucky one?

Exercise 7: The 30-Day Polysights Challenge

Objective: Integrate Polysights into your trading workflow for one month and evaluate its impact.

Steps:

1. For 30 days, use Polysights as part of your morning scan.
2. Track:
    - Number of flagged markets you reviewed
    - Number of trades you made based on Polysights signals

    - Performance of those trades
    - Performance of your non-Polysights trades
3. At the end of 30 days, compare:
    - Did Polysights improve your win rate?
    - Did it improve your average return?
    - Was the time investment worth it?

Journal Prompt:

- Overall, was Polysights a valuable addition to your toolkit?
- Would you continue using it? Why or why not?
- What would make it more useful?

Appendix E Checklist

- Completed Exercise 1: Setting Up Polysights
- Completed Exercise 2: The Insider Finder Drill
- Completed Exercise 3: The Radar Score Challenge
- Completed Exercise 4: Following the Smart Money
- Completed Exercise 5: Correlating News and Flagged Activity
- Completed Exercise 6: The Skeptic's Challenge
- Completed Exercise 7: The 30-Day Polysights Challenge

Note: K*nowingly trading on another's material nonpublic information can itself create legal exposure in some circumstances - please remember that as you decide which accounts to use as guideposts. For a fuller explanation of what separates legal analysis from illegal insider trading, see Appendix G of the handbook before acting on any pattern you observe here.*

Appendix F: Answer Key

This appendix provides suggested answers for select exercises containing definite answers (e.g. calculation drills). Your answers may differ. The goal is not to be "right" but to practice the skill.

Exercise 2.A: EV Calculator Drill

Trade	Market Price	Your Estimate	EV	Take?
1	50%	55%	+5	Yes
2	50%	52%	+2	Marginal
3	70%	75%	+5	Yes
4	70%	72%	+2	Marginal
5	90%	95%	+5	Yes
6	90%	91%	+1	Probably not
7	30%	40%	+10	Yes
8	30%	35%	+5	Yes
9	60%	65%	+5	Yes
10	60%	61%	+1	Probably not

Note: Trades 1 and 5 show identical EV (+5), but they are not equally attractive. Trade 5 risks 90 cents to capture that edge versus a risk of 50 cents for Trade 1; so, the return relative to capital at risk is lower for Trade 5. Equal EV does not mean equal quality.

Exercise 3.A: Order Book Reading Drill

1. Highest bid: 62¢
2. Lowest ask: 63¢
3. Spread: 1 cent
4. Shares at 62¢: 50,000
5. Shares at 63¢: 1,500

6. Wall: Yes, at 62¢ (50,000 shares)
7. Size imbalance: Bids (79,000 cumulative) are much larger than Asks (44,500 cumulative). This suggests buying pressure.

Exercise 3.B: Wall or Noise?

Scenario	Verdict	Reasoning
A	Real	Wall survives multiple attacks and absorbs volume
B	Spoofing	Wall disappears as price approaches; price falls through
C	Spoofing	Wall moves repeatedly as price approaches; trader never buys
D	Spoofing	Wall appears and disappears repeatedly without executing

Exercise 4.A: Position Size Calculator

Scenario	Bankroll	Risk%	Entry Price	Risk Amount	Max Shares
1	$1,000	2%	50¢	$20	40
2	$1,000	3%	50¢	$30	60
3	$5,000	1%	30¢	$50	166
4	$5,000	2%	30¢	$100	333
5	$10,000	2%	60¢	$200	333
6	$10,000	3%	60¢	$300	500
7	$500	2%	20¢	$10	50
8	$500	3%	20¢	$15	75
9	$50,000	1%	70¢	$500	714
10	$50,000	2%	70¢	$1,000	1,428

Exercise 4.B: Kelly Calculator Drill

Market Price	Your Estimate	b	Full Kelly	Quarter Kelly	Eighth Kelly
40%	55%	1.5	25.0%	6.25%	3.13%
40%	50%	1.5	16.7%	4.17%	2.08%
60%	70%	0.67	25%	6.25%	3.13%
60%	65%	0.67	12.5%	3.13%	1.56%
80%	85%	0.25	25.0%	6.25%	3.13%
80%	82%	0.25	10.0%	2.50%	1.25%
30%	45%	2.33	21.4%	5.36%	2.68%
30%	40%	2.33	14.3%	3.57%	1.79%
90%	92%	0.11	20%	5%	2.5%
90%	95%	0.11	50%	12.5%	6.25%

Exercise 4.D: Drawdown Recovery Calculation

Scenario	Current Drawdown	Account Value	Recovery Gain Required
1	15%	$8,500	17.6%
2	25%	$7,500	33.3%
3	35%	$6,500	53.8%
4	45%	$5,500	81.8%
5	55%	$4,500	122.2%
6	65%	$3,500	185.7%
7	75%	$2,500	300.0%
8	85%	$1,500	566.7%

Exercise 6.D: The Pattern Review

Pattern Identification:

Pattern	What You Notice
1	Election trades included the single largest win (+29%) and the single largest loss (-17%) — the highest-variance category in this sample
2	Crypto trades were consistently small gains or losses (range: -8% to +5%)
3	Election trades had the best overall performance (2 wins, 1 loss; average return +8.3%), despite also containing the largest single loss.

Exercise 6.E: The Historical Review

Trade	Entry Price	Current Price	Current Estimate	Enter Today?	Exit Today?
1	50¢	45¢	48%	Yes (estimate > market)	Hold
2	40¢	55¢	56%	Yes (estimate > market)	Hold
3	60¢	58¢	52%	No (estimate < market)	Exit
4	70¢	75¢	72%	No (estimate < market)	Exit
5	30¢	35¢	38%	Yes (estimate > market)	Hold

Exercise 10.B: Journal Review Practice

Pattern Identification:

Pattern	What You Notice
1	D and F grades were associated with weak theses or FOMO
2	A and B grades were associated with clear theses and patient exits
3	Election trades had the highest variance (best and worst grades)
4	The most common mistake was entering without a clear thesis

Answer Key for Exercise 12.A: YES/NO Arbitrage Scan

Market	YES Price	NO Price	Total	Arbitrage?
1	52¢	49¢	101¢	No
2	48¢	47¢	95¢	Yes
3	55¢	50¢	105¢	No
4	60¢	38¢	98¢	Yes
5	45¢	45¢	90¢	Yes
6	70¢	29¢	99¢	Yes
7	51¢	50¢	101¢	No
8	49¢	52¢	101¢	No
9	40¢	45¢	85¢	Yes
10	65¢	35¢	100¢	No

Notes:

- **Yes:** Total is less than 100%. Potential profit = 100% − Total.
- **No:** Total is 100% or greater. No buy-side arbitrage opportunity.
- **Market 9 (85¢):** Unusually large underround. Investigate liquidity and resolution rules before acting.
- **Market 6 (99¢) and Market 4 (98¢):** Small profits are often eliminated by fees and execution costs.
- **Market 10 (100¢):** Perfectly efficient. No opportunity.
- Equal EV is not equal attractiveness; note how EV per dollar risked differs at high prices

That's it. Congratulations! If you have gotten this far, you've mastered the basics, and now know more about trading on Polymarket than the vast majority of its users. Be smart. Be patient. Be safe.